



Independent Auditor's Report

To the members of D.G. Khan Cement Company Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the annexed consolidated financial statements of D. G. Khan Cement Company Limited and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at June 30, 2024, and the consolidated statement of profit or loss, the consolidated statement of comprehensive income, the consolidated statement of changes in equity and the consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information and other explanatory information.

In our opinion, consolidated financial statements give a true and fair view of the consolidated financial position of the Group as at June 30, 2024, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with the accounting and reporting standards as applicable in Pakistan.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) as applicable in Pakistan. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants as adopted by the Institute of Chartered Accountants of Pakistan (the Code) and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Following are the Key audit matters:

Sr. No.	Key audit matters	How the matters were addressed in our audit
(i)	Deferred taxation (Refer notes 4.3 and 11 to the annexed consolidated financial statements) The Group has recognised deferred tax in respect of specific unused tax credits and unused tax losses. Deferred tax assets on such items have been recognised as it is probable that sufficient taxable profits will be available in future, before their expiry, for their utilisation on the basis of the approved business plan. Due to the significant level of judgement and estimation required in preparing the business plan for determining recoverability of deferred tax assets and the significance of the amounts involved, we consider it to be a key audit matter.	Our audit procedures included the following: - Obtained an understanding of the Group's process of preparing the deferred tax working and tested internal controls over management's valuation of deferred tax assets; - Obtained an understanding regarding the relevant tax laws with respect to availability of tax credits and unused tax losses; - Recalculated the amount of tax credits and unused tax losses in accordance with the provisions of the Income Tax Ordinance, 2001; - Involved internal tax specialists to check the income

Sr. No.	Key audit matters	How the matters were addressed in our audit
		tax computation for the year and assessed the management's conclusion on carry forward of the tax credits and unused tax losses; - Obtained the approved business plan and evaluated the management's assumptions used in the preparation of business plan; - Assessed the reasonableness of computation of taxable income derived from the approved business plan; - Checked the management's analysis regarding the timing of utilisation of unused tax credits and unused tax losses by considering the year wise utilisation of such amounts and evaluated the selection of the expected tax rate in this regard; and - Assessed the appropriateness of accounting policy in respect of recognition of deferred tax assets on unused tax credits and unused tax losses and the adequacy of the disclosures made by the Group in this area with regard to the applicable accounting and reporting standards.
(ii)	Investments measured at fair value (Refer notes 4.12, 20.1.1 and 20.1.2 to the annexed consolidated financial statements) The Group holds investments in equity instruments of Nishat Hotels and Properties Limited ('NHPL') and Hyundai Nishat Motor (Private) Limited ('HNMPPL'). Due to NHPL and HNMPPL being non-listed companies, their shares do not have a quoted price in an active market. Therefore, fair values of their shares have been determined through valuation methodology based on discounted cash flow method. This involves several estimation techniques and management's judgements to obtain reasonable expected future cash flows of respective businesses and related discount rates. Management involved an expert to perform these valuations on its behalf. Due to the significant level of judgment and estimation required to determine the fair value of the investments, we consider it to be a key audit matter.	Our audit procedures included the following: - Understood and evaluated the process by which the cash flow forecasts were prepared and approved, including confirming the mathematical accuracy of the underlying calculations; - Evaluated the cash flow forecasts by obtaining an understanding of respective businesses of NHPL and HNMPPL; - Obtained an understanding of the work performed by the management's expert on the models for the purpose of valuations; - Examined the professional qualification of management's expert and assessed the independence, competence and experience of the management's expert in the field; - Obtained corroborating evidence relating to the values as determined by the management's expert by challenging key assumptions for the growth rates in the cash flow forecasts by comparing them to historical results and economic forecasts and challenging the discount rate by independently estimating a range based on market data; - Performed sensitivity analysis around key assumptions to ascertain the extent of change individually in the values of the investments; and - Assessed the adequacy of the disclosures made by the Group in this area with regard to applicable accounting and reporting standards.

Sr. No.	Key audit matters	How the matters were addressed in our audit
(iii)	Stock-in-trade and Stores, spare parts and loose tools (Refer notes 3.2, 4.13, 4.14, 23 and 24 to the annexed consolidated financial statements) As at June 30, 2024, the Group held certain items of stock-in-trade and stores, spare parts and loose tools ('inventory' items) which included clinker as work-in-process and coal as stores. The above inventory items are stored in purpose-built sheds, stockpiles and silos. As the weighing of these inventory items is not practicable, the management assesses the reasonableness of the quantities on-hand by obtaining measurements of stockpiles and converting these measurements into unit of volume by using angle of repose and bulk density values. As the determination of quantities of on-hand inventory items, by measuring the volume and density of these items as at the reporting date, involved significant estimates, this has been considered to be a key audit matter.	Our audit procedures to assess the existence of inventory included the following: • Obtained an understanding of the measurement process and procedures with respect to the specific items of the stock-in-trade and stores held in the form of stockpiles; • Attended physical inventory counts performed by the Group on a sample basis and assessed the reasonableness of the management's process of measurement of stockpiles and the determination of volume using angle of repose and bulk density values; • Involved an independent auditor's expert having expertise in the measurement and technical assessment for determination of quantities for certain inventory items; and • Obtained and reviewed the inventory count report prepared by the management and the report prepared by the auditor's expert.

Information Other than the Unconsolidated and Consolidated Financial Statements and Auditor's Reports Thereon

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the consolidated and unconsolidated financial statements and our auditor's reports thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and the Board of Directors for the consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the accounting and reporting standards as applicable in Pakistan and the requirements of Companies Act, 2017 (XIX of 2017) and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Board of Directors are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs

as applicable in Pakistan will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs as applicable in Pakistan, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Board of Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Board of Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Board of Directors, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Hammad Ali Ahmad.



A.F. Ferguson & Co.
Chartered Accountants

Lahore

Date: September 25, 2024

UDIN: AR202410092aG1gvNIId

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Note	2024 (Rupees in thousand)	2023
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Authorised share capital			
950,000,000 (2023: 950,000,000)			
ordinary shares of Rs 10 each		9,500,000	9,500,000
50,000,000 (2023: 50,000,000)			
preference shares of Rs 10 each		500,000	500,000
		10,000,000	10,000,000
Issued, subscribed and paid up share capital			
438,119,118 (2023: 438,119,118)			
ordinary shares of Rs 10 each	5	4,381,191	4,381,191
Other reserves	6	33,857,722	22,493,832
Revenue reserve: Un-appropriated profits		38,441,045	37,785,778
Attributable to owners of the parent company		76,679,958	64,660,801
Non-controlling interests		2,867,117	2,482,081
Total equity		79,547,075	67,142,882
NON-CURRENT LIABILITIES			
Long term finances from financial institutions - secured	7	17,435,308	9,763,223
Deferred government grant	8	170,232	298,958
Long term deposits	9	572,748	439,697
Employee benefits obligations	10	944,549	849,514
Deferred taxation	11	13,495,346	11,306,527
		32,618,183	22,657,919
CURRENT LIABILITIES			
Trade and other payables	12	13,319,937	14,457,666
Short term borrowings from financial institutions - secured	13	15,108,379	27,925,023
Accrued markup	14	1,417,035	1,857,643
Current portion of non-current liabilities	15	5,577,710	7,897,389
Unclaimed dividend		34,200	34,704
Provision for taxation		209,416	273,045
		35,666,677	52,445,470
CONTINGENCIES AND COMMITMENTS			
	16	147,831,935	142,246,271

The annexed notes 1 to 53 form an integral part of these consolidated financial statements.



Chief Executive

AS AT JUNE 30, 2024

	Note	2024 (Rupees in thousand)	2023
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	17	83,859,386	85,600,466
Intangible asset	18	42,763	10,153
Biological assets	19	1,167,436	1,150,612
Investments	20	15,213,597	11,474,189
Long term loans to employees	21	-	-
Long term deposits	22	61,568	64,426
		100,344,750	98,299,846
CURRENT ASSETS			
Stores, spares and loose tools	23	14,445,071	14,126,139
Stock-in-trade	24	9,528,482	11,237,446
Trade debts	25	956,035	1,222,551
Contract assets	26	84,893	79,530
Investments	27	18,409,908	9,275,913
Loans, advances, deposits, prepayments and other receivables	28	991,894	1,689,054
Income tax recoverable		2,083,669	4,935,294
Cash and bank balances	29	987,233	1,207,860
		47,487,185	43,773,787
Non-current assets classified as held for sale	30	-	172,638
		47,487,185	43,946,425
		147,831,935	142,246,271

Chief Financial Officer

Director

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

for the Year Ended June 30, 2024

	Note	2024	2023
		(Rupees in thousand)	
			(Re-stated)
Revenue	31	71,888,079	70,495,201
Cost of sales	32	(60,276,300)	(59,820,917)
Gross profit		11,611,779	10,674,284
Administrative expenses	33	(1,366,546)	(1,045,635)
Selling and distribution expenses	34	(2,612,900)	(1,822,492)
Net impairment loss on financial assets		(102,654)	(99,981)
Changes in fair value of biological assets	19	372,431	441,456
Other expenses	35	(28,623)	(349,232)
Other income	36	4,357,946	3,245,940
Finance cost	37	(8,552,123)	(7,219,255)
Profit before tax and levy		3,679,310	3,825,085
Levy	38	(574,923)	(413,200)
Profit before income tax		3,104,387	3,411,885
Taxation	39	(2,221,957)	(6,777,939)
Profit / (Loss) for the year		882,430	(3,366,054)
Profit / (Loss) is attributable to:			
Owners of the parent company		620,898	(3,530,256)
Non-controlling interests		261,532	164,202
		882,430	(3,366,054)
Earnings / (loss) per share - basic and diluted in Rupees	40	1.42	(8.06)

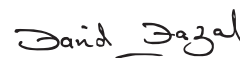
The annexed notes 1 to 53 form an integral part of these consolidated financial statements.



Chief Executive



Chief Financial Officer



Director

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

for the Year Ended June 30, 2024

	2024	2023
	(Rupees in thousand)	
Profit / (loss) for the year	882,430	(3,366,054)
Other comprehensive income / (loss) for the year - net of tax		
<i>Items that may be reclassified subsequently to profit or loss:</i>	-	-
<i>Items that will not be subsequently reclassified to profit or loss:</i>		
Change in fair value of investments at fair value through other comprehensive income (OCI)	12,853,393	(1,325,200)
Tax effect of change in fair value of investments at fair value through OCI	(1,255,999)	(345,242)
Remeasurement of retirement benefits	56,343	(42,104)
Tax effect of remeasurement of retirement benefits	(21,974)	36,830
	11,631,763	(1,675,716)
Other comprehensive income / (loss) for the year	11,631,763	(1,675,716)
Total comprehensive income / (loss) for the year	12,514,193	(5,041,770)
Total comprehensive income / (loss) is attributable to:		
Owners of the parent company	12,019,157	(5,195,179)
Non-controlling interests	495,036	153,409
	12,514,193	(5,041,770)

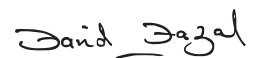
The annexed notes 1 to 53 form an integral part of these consolidated financial statements.



Chief Executive



Chief Financial Officer



Director

CONSOLIDATED STATEMENT OF CASH FLOWS

for the Year Ended June 30, 2024

	Note	2024 (Rupees in thousand)	2023 (Re-stated)
Cash flows from operating activities			
Cash generated from operations	41	13,398,026	13,741,708
Finance cost paid		(8,992,731)	(6,403,065)
Retirement and other benefits paid		(204,891)	(127,442)
Income tax refunded / (paid)		1,476,885	(656,579)
Levy paid		(574,923)	(413,200)
Long term loans, advances and deposits - net		135,909	156,812
Net cash inflow from operating activities		5,238,275	6,298,234
Cash flows from investing activities			
Payments for property, plant and equipment		(2,296,298)	(3,707,946)
Proceeds from disposal of property, plant and equipment		155,304	213,538
Payments for intangible asset		(56,155)	-
Payments for purchase of biological assets		36,251	-
Proceeds from sale of biological assets		412,148	252,949
Investment in equity and debt instruments		(20,000)	(1,366,079)
Recovery of loan to related party		-	-
Interest received		72,644	3,750
Dividends received		3,775,912	2,413,026
Net cash inflow / (outflow) from investing activities		2,079,806	(2,190,762)
Cash flows from financing activities			
Proceeds from long term finances acquired		12,602,529	2,038,739
Repayment of long term finances		(7,332,634)	(6,682,340)
Dividends paid to owners of the parent company		(504)	(458,867)
Buy-back of shares of subsidiary from non-controlling shareholders (note 1.1)		(110,000)	-
Repayment of loans from related parties		-	(94,000)
Net cash inflow / (outflow) from financing activities		5,159,391	(5,196,468)
Net increase / (decrease) in cash and cash equivalents		12,477,472	(1,088,996)
Cash and cash equivalents at the beginning of the year		(26,717,163)	(25,735,036)
Effect of exchange rate changes on cash and cash equivalents		118,545	106,869
Cash and cash equivalents at the end of the year	42	(14,121,146)	(26,717,163)

Refer note 7 for reconciliation of liabilities arising from financing activities.

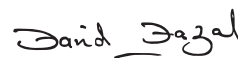
The annexed notes 1 to 53 form an integral part of these consolidated financial statements.



Chief Executive



Chief Financial Officer



Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the Year Ended June 30, 2024

	Capital Reserve			Revenue Reserve		Total equity attributable to owners of parent company	Non-Controlling Interest	Total equity
	Share Capital	Share premium	FVOCI reserve	Capital redemption reserve fund	General reserve	Un-appropriated Profits		
	Rupees in thousand							
Balance as on July 1, 2022	4,381,191	4,557,163	14,131,957	353,510	5,110,851	41,759,427	2,349,613	72,643,712
Total comprehensive loss for the year	-	-	-	-	-	(3,530,256)	164,202	(3,366,054)
- Profit / (loss) for the year	-	-	-	-	-	-	-	-
- Other comprehensive loss for the year:	-	-	(1,659,649)	-	-	-	(10,793)	(1,670,442)
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	-	-	-	(5,274)	-	(5,274)
- Remeasurements of retirement benefits - net of tax	-	-	(1,659,649)	-	-	(3,535,530)	153,409	(5,041,770)
Transactions with owners in their capacity as owners recognised directly in equity	-	-	-	-	-	(438,119)	(20,941)	(459,060)
Final dividend for the year ended June 30, 2022	-	-	-	-	-	-	-	-
Balance as on June 30, 2023	4,381,191	4,557,163	12,472,308	353,510	5,110,851	37,785,778	2,482,081	67,142,882
Total comprehensive loss for the year	-	-	-	-	-	620,898	261,532	882,430
- Loss for the year	-	-	-	-	-	-	-	-
- Other comprehensive loss for the year:	-	-	11,363,890	-	-	-	233,504	11,597,394
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	-	-	-	34,369	-	34,369
- Remeasurements of retirement benefits - net of tax	-	-	11,363,890	-	-	655,267	495,036	12,514,193
Transactions with owners in their capacity as owners recognised directly in equity	-	-	-	-	-	-	-	-
Buy-back of shares (note 1.1)	-	-	-	-	-	-	(110,000)	(110,000)
Balance as on June 30, 2024	4,381,191	4,557,163	23,836,198	353,510	5,110,851	38,441,045	2,867,117	79,547,075

The annexed notes 1 to 53 form an integral part of these consolidated financial statements.



Chief Executive



Chief Financial Officer



Director

NOTES TO AND FORMING PART OF THE CONSOLIDATED FINANCIAL STATEMENTS

for the Year Ended June 30, 2024

1. The Group and its activities

The Group comprises of:

- D. G. Khan Cement Company Limited (the 'parent company');
- Nishat Paper Products Company Limited; and
- Nishat Dairy (Private) Limited.

D. G. Khan Cement Company Limited is a public company limited by shares, incorporated in Pakistan in 1978 under the repealed Companies Act, 1913 (now, the Companies Act, 2017, hereinafter may be referred to as the 'Act'). Its ordinary shares are listed on the Pakistan Stock Exchange Limited. It is principally engaged in production and sale of Clinker, Ordinary Portland and Sulphate Resistant Cement (hereinafter referred to as the 'Cement segment'). It has four cement plants; two plants located at Dera Ghazi Khan ('D. G. Khan'), one at Khairpur District, Chakwal ('Khairpur') and one at at District Hub ('Hub').

Nishat Paper Products Company Limited is a public company limited by shares, incorporated in Pakistan on July 23, 2004 under the repealed Companies Ordinance, 1984 (now, the Act). It is principally engaged in the manufacture and sale of paper products and packaging material (hereinafter referred to as the 'Paper segment'). Its manufacturing facility is located at Khairpur on the parent company's land.

Nishat Dairy (Private) Limited is a private company limited by shares, incorporated in Pakistan on October 28, 2011 under the repealed Companies Ordinance, 1984 (now, the Act). It is principally engaged in the business of production and sale of raw milk (hereinafter referred to as the 'Dairy segment'). Its production facility and factory is situated at 1- KM Sukheki Road, Pindi Bhattian.

The registered office of all the above companies is situated at Nishat House, 53-A, Lawrence Road, Lahore. The parent company's holding in its subsidiaries is as follows:

	Effective percentage of holding
- Nishat Paper Products Company Limited	55.00%
- Nishat Dairy (Private) Limited	55.10%

The Group has regional offices located across Pakistan, the geographical locations of which are listed below:

Regional office	Geographical location
Lahore region	Nishat House, 53-A, Lawrence Road, Lahore
Multan region	17-E-1, Officers Colony, Near Eid Gah, Main Khanewal Road, Multan Cantt, Multan
Karachi region	D-247, KDA Scheme No. 1/A, Karachi
Rawalpindi region	Office # 13-16, Third Floor, Rizwan Arcade, Adamjee Road, Saddar, Rawalpindi
D.G. Khan region	16-B, Khayaban-e-Sarwar, Manka Road, D.G. Khan

- 1.1** During the year Nishat Dairy (Private) Limited with the approval of its shareholders in the extraordinary general meeting, resolved to buy back, for the purpose of cancellation, an aggregate number of 24,500,000 issued and paid-up ordinary shares of the Dairy segment at the par value i.e. Rs 10 per share during the purchase period. Accordingly, the Dairy segment has completed purchase of 24,500,000 own shares. Accordingly, these own shares were cancelled and the buy-back process stood completed.

2. Basis of preparation

2.1 Statement of compliance

These consolidated financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan. The accounting and reporting standards applicable in Pakistan comprise of:

- i) International Financial Reporting Standards ('IFRS') issued by the International Accounting Standards Board ('IASB') as notified under the Companies Act, 2017;
- ii) Islamic Financial Accounting Standards ('IFAS') issued by the Institute of Chartered Accountants of Pakistan as notified under the Companies Act, 2017; and
- iii) Provisions of and directives issued under the Companies Act, 2017.

Where provisions of and directives issued under the Companies Act, 2017 differ from the IFRS, the provisions of and directives issued under the Companies Act, 2017 have been followed.

2.2 Initial application of standards, amendments or an interpretation to existing standards

The following amendments to existing standards have been published that are applicable to the Group's consolidated financial statements covering annual periods, beginning on or after the following dates:

2.2.1 Standards, amendments to published standards and interpretations that are effective in the current year

Certain standards, amendments and interpretations to IFRS are effective for accounting periods beginning on July 1, 2023 but are considered not to be relevant or to have any significant effect on the Group's operations (although they may affect the accounting for future transactions and events) and are, therefore, not detailed in these consolidated financial statements except for the following:

a) IAS 12 Application Guidance on Accounting for Minimum Taxes and Final Taxes

During the year, the Institute of Chartered Accountants of Pakistan ('ICAP') has withdrawn Technical Release 27 "IAS 12, Income Taxes (Revised 2012)" and issued "IAS 12 Application Guidance on Accounting for Minimum Taxes and Final Taxes" vide its circular No. 07/2024 dated May 15, 2024 ('the Guidance'). According to the Guidance, the minimum taxes and the final taxes that are not calculated on the 'taxable profit' as defined in IAS 12 but calculated on turnover or other basis in excess of normal tax liability, and the tax deducted at source other than from dividends from subsidiaries, joint ventures and associates under final tax regime, are out of scope of IAS 12 "Income Taxes" and fall in the ambit of IFRIC 21 "Levies" and IAS 37 "Provisions, Contingent Liabilities and Contingent Assets".

Accordingly, the Group has changed its accounting policy to recognise such taxes as 'Levies' which were previously being recognised as 'Income Tax'. This change has been accounted for retrospectively in line with the requirements of IAS 8 "Accounting Policies, Changes in Accounting Estimates and Errors". There has been no effect on the consolidated statement of financial position, the consolidated statement of comprehensive income, the consolidated statement of changes in equity and earnings / loss per share as a result of this change.

Effect on consolidated statement of profit or loss	Had there been no change in accounting policy	Impact of change in accounting policy	After incorporating effects of change in accounting policy
(Rupees in thousand)			
For the year ended June 30, 2024			
Levy	-	(574,923)	(574,923)
Profit before income tax	3,679,310	(574,923)	3,104,387
Taxation	(2,796,880)	574,923	(2,221,957)
For the year ended June 30, 2023			
Levy	-	(413,200)	(413,200)
Profit before income tax	3,825,085	(413,200)	3,411,885
Taxation	(7,191,139)	413,200	(6,777,939)

b) Narrow scope amendments to International Accounting Standard (IAS) 1, IFRS Practice Statement 2 and International Accounting Standard (IAS) 8

The IASB amended IAS 1 to require entities to disclose their 'material' rather than their significant accounting policies. The amendments define what is 'material accounting policy information' and explain how to identify when accounting policy information is material. They further clarify that immaterial accounting policy information does not need to be disclosed. If it is disclosed, it should not obscure material accounting information.

To support this amendment, the IASB also amended IFRS Practice Statement 2 "Making Materiality Judgements" to provide guidance on how to apply the concept of materiality to accounting policy disclosures.

The Group adopted Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statements 2 "Making Materiality Judgements") from January 1, 2023. Although the amendments did not result in any changes to the accounting policies themselves, they impact the accounting policy information disclosed in note 4 to the financial statements.

c) Amendments to International Accounting Standard (IAS) 12 "Income Taxes" - Deferred tax related to assets and liabilities arising from a single transaction

The amendments narrow the scope of the Initial Recognition Exemption (IRE) so that it does not apply to transactions that give rise to equal and offsetting temporary differences. As a result, companies will need to recognise a deferred tax asset and a deferred tax liability for temporary differences arising on initial recognition of a lease and a decommissioning provision. For leases and decommissioning liabilities, the associated deferred tax asset and liabilities will need to be recognised from the beginning of the earliest comparative period presented, with any cumulative effect recognised as an adjustment to retained earnings or other components of equity at that date.

2.2.2 Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

There are certain standards, amendments to the approved accounting standards and interpretations that are mandatory for the Group's accounting periods beginning on or after July 1, 2024 but are considered not to be relevant or to have any significant effect on the Group's operations and are, therefore, not detailed in these consolidated financial statements, except for the following:

a) Amendment to International Accounting Standard (IAS) 1, "Non-current liabilities with covenants" (effective for annual period beginning on January 1, 2024)

These amendments clarify how conditions with which an entity must comply within twelve months after the reporting period affect the classification of a liability. The amendments also aim to improve information an entity provides related to liabilities subject to these conditions.

b) International Financial Reporting Standard (IFRS) S1, "General requirements for disclosure of sustainability-related financial information" and International Financial Reporting Standard (IFRS) S2, "Climate-related disclosures" (effective for annual period beginning on January 1, 2024)

The International Sustainability Standards Board ('ISSB') issued its first two sustainability reporting standards on June 26, 2023, applicable on reporting periods beginning on or after January 1, 2024, subject to endorsement of the standards by local jurisdictions. These standards include the core framework for the disclosure of material information about sustainability-related risks, opportunities across an entity's value chain and set out the requirements for entities to disclose information about climate-related risks and opportunities.

IFRS S1 requires entities to disclose information about its sustainability-related risks and opportunities that is useful to primary users of general purpose financial reporting in making decisions relating to providing resources to the entity. The standards provide guidance on identifying sustainability-related risks and opportunities, and the relevant disclosures to be made in respect of those sustainability related risks and opportunities.

IFRS S2 is a thematic standard that builds on the requirements of IFRS S1 and is focused on climate-related disclosures. IFRS S2 requires an entity to identify and disclose climate-related risks and opportunities that could affect the entity's prospects over the short, medium and long term. In addition, IFRS S2 requires entities to consider other industry-based metrics and seven cross-industry metrics when disclosing qualitative and quantitative components on how the entity uses metrics and targets to measure, monitor, and manage the identified material climate-related risks and opportunities. The cross-industry metrics include disclosures on Green House Gas ('GHG') emissions, transition risks, physical risks, climate-related opportunities, capital deployment, internal carbon prices and remuneration.

The aforementioned standards have not been notified locally or declared exempt, in relation to the Group, by the Securities and Exchange Commission of Pakistan ('SECP') as at June 30, 2024.

c) Amendment to IFRS 9 and IFRS 7 - Classification and Measurement of Financial Instruments (effective for annual period beginning on or after January 1, 2026)

The IASB has issued narrow-scope amendments to IFRS Standards. The amendments aim to:

- clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system;
- clarify and add further guidance for assessing whether a financial asset meets the Solely Payments of Principal and Interest ('SPPI') criterion;
- add new disclosures for certain instruments with contractual terms that can change cash flows (such as some instruments with features linked to the achievement of environment, social and governance ('ESG') targets); and
- make updates to the disclosures for equity instruments designated at Fair Value through Other Comprehensive Income ('FVOCI').

d) IFRS 18 "Presentation and Disclosure in Financial Statements" (effective for annual periods beginning on or after January 1, 2027)

This is the new standard on presentation and disclosure in financial statements, with a focus on updates to the statement of profit or loss. The key new concepts introduced in IFRS 18 relate to:

- the structure of the statement of profit or loss;
- required disclosures in the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management defined performance measures); and
- enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general.

The aforementioned standards have not been notified locally or declared exempt, in relation to the Group, by the Securities and Exchange Commission of Pakistan (SECP) as at June 30, 2024.

3. Basis of measurement

3.1 These consolidated financial statements have been prepared on a historical cost basis except for the following:

- certain financial instruments, government grant, and plan assets of defined benefit gratuity at fair value,
- certain employee benefit obligations and provisions at present value, and
- biological assets at fair value less costs to sell.

3.2 Critical accounting estimates and judgements

The preparation of these consolidated financial statements in conformity with accounting and reporting standards

requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. Estimates and judgments are continually evaluated and are based on historic experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Revision to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. In the process of applying the Group's accounting policies, management has made the following estimates and judgments which are significant to these consolidated financial statements:

- a) Provision for taxation and recognition of deferred tax asset for tax credits and for carried-forward tax losses - notes 4.3, 11 and 39
- b) Employee benefit obligations - notes 4.4 and 10
- c) Useful lives and residual values of property, plant and equipment - notes 4.6 and 17.1
- d) Fair valuation of biological assets - notes 4.9 and 19
- e) Fair value of unquoted fair value through other comprehensive income ('FVOCI') investments - note 4.15 and 20
- f) Impairment of financial assets (other than investments in equity instruments) - note 4.15.4
- g) Existence of stores, spare parts and loose tools and stock-in-trade items ('inventory' items) - note 4.13 and 4.14

The Cement Segment's certain stock-in-trade items [i.e. raw materials (gypsum, iron ore, laterite etc.), work-in-process (raw meal and clinker) and finished goods (cement)] and certain store items (i.e. coal and refused derived fuel) ('inventory' items) are stored in purpose-built sheds, stockpiles and silos. As weighing these items is not practicable, the management assesses the reasonableness of the quantities on-hand inventory items by obtaining measurement of these items and converting these measurements into unit of volume by using angle of repose and bulk density values.

- h) Contingencies - note 16

4. Material accounting policy information

The material accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

4.1 Principles of consolidation

a) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity where the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group. The acquisition method of accounting is used to account for all business combinations, regardless of whether equity instruments or other assets are acquired. The consideration transferred for the acquisition of a subsidiary comprises the:

- fair values of the assets transferred;
- liabilities incurred to the former owners of the acquired business;
- equity interests issued by the Group;
- fair value of any asset or liability resulting from a contingent consideration arrangement, and
- fair value of any pre-existing equity interest in the subsidiary.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquired entity on an acquisition-by-acquisition basis either at fair value or at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets.

Acquisition-related costs are expensed as incurred.

The excess of the consideration transferred, amount of any non-controlling interest in the acquired entity, and acquisition-date fair value of any previous equity interest in the acquired entity over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the subsidiary acquired, the difference is recognised directly in profit or loss as a bargain purchase.

Where settlement of any part of cash consideration is deferred, the amounts payable in the future are discounted to their present value as at the date of exchange. The discount rate used is the entity's incremental borrowing rate, being the rate at which a similar borrowing could be obtained from an independent financier under comparable terms and conditions.

Contingent consideration is classified either as equity or a financial liability. Amounts classified as a financial liability are subsequently remeasured to fair value, with changes in fair value recognised in profit or loss.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date. Any gains or losses arising from such remeasurement are recognised in profit or loss.

Intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

Non-controlling interests ('NCI') in the results and equity of subsidiaries are shown separately in the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of financial position respectively.

b) Changes in ownership interests

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Group. A change in ownership interest results in an adjustment between the carrying amounts of the controlling and non-controlling interests to reflect their relative interests in the subsidiary. Any difference between the amount of the adjustment to non-controlling interests and any consideration paid or received is recognised in a separate reserve within equity attributable to owners of the Group.

When the Group ceases to consolidate because of a loss of control, any retained interest in the entity is re-measured to its fair value, with the change in carrying amount recognised in consolidated statement of profit or loss. This fair value becomes the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in consolidated statement of comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in consolidated statement of comprehensive income are reclassified to consolidated statement of profit or loss.

4.2 Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in consolidated statement of profit or loss over the period of the borrowings using the effective interest method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is

capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are removed from the consolidated statement of financial position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in consolidated statement of profit or loss as other income or finance costs.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

4.3 Taxation

Income tax comprises current and deferred tax. Income tax is recognised in the consolidated statement of profit or loss except to the extent that relates to items recognised directly in consolidated statement of changes in equity or consolidated statement of comprehensive income, in which case it is recognised directly in equity or consolidated statement of comprehensive income.

Current

The charge for current tax is calculated using prevailing tax rates or tax rates expected to apply to profit for the year if enacted or substantively enacted at the end of the reporting period in accordance with the prevailing law for taxation of income, after taking into account tax credits, rebates and exemptions, if any. Management periodically evaluates position taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and considers whether it is probable that the tax authorities will accept an uncertain tax treatment. The charge for current tax also includes adjustments, where considered necessary, to provision for tax made in previous years arising from assessments framed during the year for such years. The Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty. Current tax assets and tax liabilities are offset where the Group has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Deferred

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that, at the time of the transaction, affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which the deductible temporary differences, unused tax losses and tax credits can be utilised. Deferred tax assets and liabilities are offset where there is a legally enforceable right to offset current tax assets and liabilities and where the deferred tax balances relate to the same taxation authority.

Levies

Minimum taxes and the final taxes that are not calculated on the 'taxable profit' as defined in IAS 12 but calculated on turnover or other basis and the tax deducted at source other than from dividends from subsidiaries, joint ventures and associates under final tax regime or any minimum taxes which are not adjustable against future income tax liability, are classified as levy in the profit or loss as they fall under the scope of IFRIC 21 "Levies" and IAS 37 "Provisions, Contingent Liabilities and Contingent Assets".

4.4 Employee benefits

4.4.1 Short term obligations

Liabilities for wages and salaries, including non-monetary benefits and accumulating annual leaves that are expected to be settled wholly within twelve months after the end of the period in which the employees render

the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liabilities are presented as current employee benefit obligations in the consolidated statement of financial position.

4.4.2 Post employment benefits

(a) Defined benefit plan - Gratuity

The Cement segment operates an approved funded defined benefit gratuity plan for all eligible regular employees having joining date on or before June 30, 2022 and a service period of more than five years for officers and six months for workers. Provisions are made in the consolidated financial statements to cover obligations on the basis of actuarial valuations carried out annually. The most recent valuation was carried out as at June 30, 2024 using the "Projected Unit Credit Method".

The actual return on plan assets represents the difference between the fair value of plan assets at the beginning of the year and as at the end of the year after adjustments for contributions made by the Group as reduced by benefits paid during the year.

The amount recognised in consolidated statement of financial position represents the present value of the defined benefit obligation as reduced by the fair value of the plan assets.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in consolidated statement of comprehensive income in the year in which they arise. Past service costs are recognised immediately in the consolidated statement of profit or loss.

The future contribution rate of the plan includes allowances for deficit and surplus. Projected Unit Credit Method, using the following significant assumptions, is used for valuation of this scheme:

	2024	2023
Discount rate per annum	14.75%	16.25%
Expected increase in eligible salary level per annum	13.75%	15.25%
Duration of the plan (years)	7	7

The expected mortality rates assumed are based on the SLIC (2001-2005) mortality table set back one year.

(b) Defined contribution plan

The Group operates provident funds for all its regular employees. Equal monthly contributions are made to the funds both by the Group and the employees as follows:

Cement segment: at the rate of 10% of the basic salary for officers and 10% of basic salary plus cost of living allowance for workers.

Paper segment: at the rate of 10% of the basic salary

Dairy segment: at the rate of 9.5% of the basic salary plus cost of living allowance

The Group has no further payment obligations once the contributions have been paid. Obligation for contributions to defined contribution plan is recognised as an expense in the consolidated statement of profit or loss as and when incurred.

4.3.3 Accumulating compensated absences

The Cement segment provides for accumulating compensated absences, when the employees render services that increase their entitlement to future compensated absences. Under the service rules, employees are entitled to 2.5 days leave per month. Unutilised leaves can be accumulated up to 30 days in case of officers. However, leave policy for officers whose leave balance was already accumulated to 90 days or

above as of July 1, 2019 may keep leaves accumulated up to 90 days. An officer is entitled to encash the unutilised earned leave accrued during the year. In addition, he can also encash some portion of his accumulated leave balance during the year. Any further unutilised leaves lapse. The earned leave encashment is based on basic salaries. In case of workers, unutilised leaves may be accumulated up to 120 days, however, accumulated leave balance above 50 days is encashable upon demand of the worker. Unutilised leaves can be used at any time by all employees, subject to the approval of the Group's management.

Provisions are made annually to cover the obligation for accumulating compensated absences based on actuarial valuation and are charged to the consolidated statement of profit or loss. The most recent valuation was carried out as at June 30, 2024 using the "Projected Unit Credit Method".

The amount recognised in the consolidated statement of financial position represents the present value of the defined benefit obligations. Actuarial gains and losses are charged to the consolidated statement of profit or loss immediately in the period when these occur.

Projected unit credit method, using the following significant assumptions, has been used for valuation of accumulating compensated absences:

	2024	2023
Discount rate per annum	14.75%	16.25%
Expected rate of increase in salary level per annum	13.75%	15.25%
Expected mortality rate	SLIC (2001-2005) mortality table (setback 1 year)	SLIC (2001-2005) mortality table (setback 1 year)
Duration of the plan (years)	3	8

4.5 Trade and other payables

These amounts represent liabilities for goods and services provided to the Group prior to the end of the financial year which are unpaid. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

4.6 Property, plant and equipment

4.6.1 Operating fixed assets

Operating fixed assets except freehold land are stated at cost less accumulated depreciation and any identified impairment loss. Freehold land is stated at cost less any identified impairment loss. Cost in relation to certain operating fixed assets signifies historical cost and borrowing costs as referred to in note 4.22.

Depreciation on all operating fixed assets of the Group is charged to the consolidated statement of profit or loss on the reducing balance method, except for plant and machinery and leasehold land of the Cement and Paper segments, which are being depreciated using the straight line method, so as to write off the depreciable amount of such assets over their estimated useful life at annual rates mentioned in note 18.1 after taking into account their residual values.

The assets' residual values and useful lives are reviewed at each financial year end and adjusted if impact on depreciation is significant. The Group's estimate of the residual value and useful life of its operating fixed assets as at June 30, 2024 has not required any adjustment as its impact is considered insignificant.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount as fully explained in note 4.10 to these consolidated financial statements.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item shall flow to the Group and the cost of the item can be measured reliably. All other repair and maintenance costs are charged to consolidated statement of profit or loss during the period in which they are incurred.

Proceeds from the sale of items while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management are not deducted from the cost of an item of property, plant and equipment. Instead, the Group recognizes the proceeds from selling such items, and the cost of producing those items, in profit or loss.

The gain or loss on disposal or retirement of an asset represented by the difference between the sale proceeds and the carrying amount of the asset is recognised as an income or expense.

4.6.2 Major spare parts and stand-by equipment

Major spare parts and stand-by equipment qualify as property, plant and equipment when an entity expects to use them for more than one year. Transfers are made to operating fixed assets category as and when such items are available for use.

4.6.3 Capital work-in-progress

Capital work-in-progress is stated at cost less any identified impairment loss. All expenditure including borrowing costs connected with specific assets incurred during installation and construction period are carried under capital work-in-progress. These are transferred to operating fixed assets as and when these are available for use.

4.7 Non-current assets classified as held for sale

Non-current assets are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use and a sale is considered highly probable. They are measured at the lower of their carrying amount and fair value less costs to sell, except for assets such as deferred tax assets, assets arising from employee benefits, financial assets that are carried at fair value, and contractual rights under insurance contracts, which are specifically exempt from this requirement.

4.8 Intangible assets - Computer software

Expenditure incurred to acquire computer software is capitalised as intangible asset and stated at cost less accumulated amortisation and any identified impairment loss. Computer software is amortised using the straight line method over a period of three years.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount (as explained in note 4.10 to these consolidated financial statements).

4.9 Biological assets - Livestock

Livestock are measured at their fair value less estimated point-of-sale costs. Fair value of livestock is determined by an independent valuer on the basis of best available estimates for livestock of similar attributes.

Gains or losses arising from changes in fair value less estimated point-of-sale costs of livestock is recognised in the consolidated statement of profit or loss.

Livestock are categorized as mature or immature. Mature livestock are those that have attained harvestable specifications. Immature livestock have not yet reached that stage.

Farming cost such as feeding, labour cost, pasture maintenance, veterinary services and sheering are expensed as incurred. The cost of purchase of cattle plus transportation charges are capitalized as part of biological assets.

4.10 Impairment of non-financial assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from

other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

4.11 Leases

The Group is the lessee:

At inception of a contract, the Group assesses whether a contract is, or contains, a lease based on whether the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease, or if that rate cannot be readily determined, the Group's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

Lease payments include the following:

- fixed payments, less any lease incentives receivable;
- variable lease payments that are based on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable by the Group under residual value guarantees;
- the exercise price of a purchase option if the Group is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option, less any lease incentives receivable.

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease liability is subsequently measured at amortised cost using the effective interest rate method. It is remeasured when there is a change in future lease payments arising from a change in fixed lease payments or an index or rate, change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option. The corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in the consolidated statement of profit or loss if the carrying amount of right-of-use asset has been reduced to zero.

The right-of-use asset is initially measured based on the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentive received. The right-of-use asset is depreciated on a straight line method over the lease term as this method most closely reflects the expected pattern of consumption of future economic benefits. The right-of-use asset is reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

When there is a change in scope of a lease, or the consideration for a lease, that was not part of the original terms and conditions of the lease, it is accounted for as a lease modification. The lease modification is accounted for as a separate lease if modification increases the scope of lease by adding the right to use one or more underlying assets and the consideration for lease increases by an amount that is commensurate with the stand-alone price for the increase in scope adjusted to reflect the circumstances of the particular contracts, if any. When the lease modification is not accounted for as a separate lease, the lease liability is remeasured and corresponding adjustment is made to right-of-use asset.

Payments associated with short-term leases and all leases of low-value assets are recognised on a straight-line basis as an expense in the consolidated statement of profit or loss. Short-term leases are leases with a lease term

of 12 months or less without a purchase option.

4.12 Investments

Investments intended to be held for less than twelve months from the reporting date or to be sold to raise operating capital, are included in current assets, all other investments are classified as non-current. Management determines the appropriate classification of its investments at the time of the purchase and re-evaluates such designation on a regular basis.

4.13 Stores, spares and loose tools

Stores, spare parts and loose tools are valued at moving weighted average cost except for items in transit which are stated at invoice value plus other charges paid thereon till the reporting date. For items which are slow moving and / or identified as obsolete, adequate provision is made for any excess book value over estimated realizable value. The Group reviews the carrying amount of stores and spares on a regular basis and provision is made for obsolescence.

4.14 Stock-in-trade

Stock of raw materials (except for those in transit), work in process and finished goods are valued principally at the lower of weighted average cost and net realisable value ('NRV'). Stock of packing material is valued principally at moving average cost. Cost of work-in-process and finished goods comprises cost of direct materials, labour and related production overheads (based on normal operating capacity).

Materials in transit are stated at cost comprising invoice value plus other charges paid thereon.

Net realisable value is determined on the basis of estimated selling price of the product in the ordinary course of business less estimated costs of completion and estimated cost necessary to make the sale.

If the expected net realisable value is lower than the carrying amount, a write-down is recognised for the amount by which the carrying amount exceeds its net realisable value. Provision is made in the consolidated financial statements for obsolete and slow moving stock-in-trade based on management estimate.

4.15 Financial assets

4.15.1 Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value [either through other comprehensive income ('OCI') or through profit or loss]; and
- those to be measured at amortised cost.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income.

The Group reclassifies debt investments when and only when its business model for managing those assets changes.

4.15.2 Recognition and derecognition

Regular way purchases and sales of financial assets are recognised on trade date, being the date on which the Group commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

4.15.3 Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payments of principal and interest.

Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. There are three measurement categories into which the Group classifies its debt instruments:

- i) **Amortised cost:** Assets that are held for collection of contractual cash flows, where those cash flows represent solely payments of principal and interest, are measured at amortised cost. Interest income from these consolidated financial assets is included in other income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss. Impairment losses are presented as a separate line item in the consolidated statement of profit or loss.
- ii) **FVOCI:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses, which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss. Interest income from these consolidated financial assets is included in other income using the effective interest rate method. Impairment expenses are presented as a separate line item in the consolidated statement of profit or loss.
- iii) **FVPL:** Assets that do not meet the criteria for amortised cost or FVOCI are measured at FVPL. A gain or loss on a debt investment that is subsequently measured at FVPL is recognised in profit or loss in the period in which it arises.

Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognised in profit or loss as other income when the Group's right to receive payments is established.

Changes in the fair value of financial assets at FVPL are recognised in the statement of profit or loss. Impairment losses (and reversal of impairment losses) on equity investments measured at FVOCI are not reported separately from other changes in fair value.

4.15.4 Impairment of financial assets other than investment in equity instruments

The Group assesses on a forward-looking basis the expected credit losses (ECL) associated with its financial assets. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade debts and contract assets, the Group applies IFRS 9 simplified approach to measure the expected credit losses (loss allowance) which uses a life time expected loss allowance to be recognised from initial recognition of the receivables while general 3-stage approach for loans, deposits, other receivables and bank balances i.e. to measure ECL through loss allowance at an amount equal to 12-month ECL if credit risk on a financial instrument or a group of financial instruments has not increased significantly since initial recognition.

Following are the financial assets that are subject to the ECL model:

- Trade debts;
- Contract assets;
- Long term loans;
- Long term deposits;
- Loans, deposits and other receivables; and
- Bank balances

The measurement of expected credit losses is a function of the probability of default, loss given default (i.e. the magnitude of the loss if there is a default) and the exposure at default. The assessment of the probability of default and loss given default is based on historical data adjusted by forward-looking information (adjusted for factors that are specific to the counterparty, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate). As for the exposure at default for financial assets, this is represented by the assets' gross carrying amount at the reporting date.

The measurement of ECL reflects:

- an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- the time value of money; and
- reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions.

The Group recognizes an impairment gain or loss in the consolidated statement of profit or loss for financial assets with a corresponding adjustment to their carrying amount through a loss allowance account.

The Group writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. The assessment of no reasonable expectation of recovery is based on unavailability of debtor's sources of income or assets to generate sufficient future cash flows to repay the amount. The Group may write-off financial assets that are still subject to enforcement activity. Subsequent recoveries of amounts previously written off will result in impairment gains.

4.16 Financial liabilities

All financial liabilities are recognised at the time when the Group becomes a party to the contractual provisions of the instrument. Financial liabilities at amortised cost are initially measured at fair value less transaction costs. Financial liabilities at fair value through profit or loss are initially recognised at fair value and transaction costs are expensed in profit or loss.

Financial liabilities, other than those at fair value through profit or loss, are subsequently measured at amortised cost using the effective interest rate method. Gain and losses are recognised in the profit or loss, when the liabilities are derecognised as well as through effective interest rate amortization process.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in respective carrying amounts is recognised in the consolidated statement of profit or loss.

4.17 Offsetting of financial assets and liabilities

Financial assets and liabilities are offset and the net amount is reported in the consolidated financial statements only when there is a legally enforceable right to set off the recognised amount and the Group intends either to settle on a net basis or to realise the assets and to settle the liabilities simultaneously.

4.18 Trade debts and other receivables

Trade debts are amounts due from customer for goods sold or services performed in ordinary course of business.

Other receivables generally arise from transactions outside the usual operating activities of the Group. Trade debts and other receivables are recognised initially at the amount of consideration that is unconditional, unless they contain significant financing component in which case such are recognised at fair value. The Group holds the trade debts with the objective of collecting the contractual cash flows and therefore measures the trade debts subsequently at amortised cost using the effective interest rate method less loss allowance.

4.19 Cash and cash equivalents

For the purpose of presentation in the consolidated statement of cash flows, cash and cash equivalents includes cash on hand, deposits held at call with financial institutions, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and bank overdrafts. Short term borrowings are also included in cash and cash equivalent if it is repayable on demand and forms an integral part of the Group's cash management. Bank overdrafts are shown within borrowings in current liabilities in the consolidated statement of financial position.

4.20 Foreign currency transactions and translation

a) Functional and presentation currency

Items included in the consolidated financial statements of the Group are measured using the currency of the primary economic environment in which the Group operates (the functional currency). The financial statements are presented in Pak Rupees, which is the Group's functional and presentation currency.

b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions, and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates, are generally recognised in consolidated statement of profit or loss.

Foreign exchange gains and losses that relate to borrowings are presented in the consolidated statement of profit or loss, within finance costs. All other foreign exchange gains and losses are presented in the consolidated statement of profit or loss on a net basis within other gains / (losses).

Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognised in consolidated profit or loss as part of the fair value gain or loss, and translation differences on non-monetary assets such as equities classified as at fair value through other comprehensive income are recognised in other comprehensive income.

c) Functional and presentation currency

Items included in the consolidated financial statements of the Group are measured using the currency of the primary economic environment in which the Group operates (the functional currency). The financial statements are presented in Pak Rupees, which is the Group's functional and presentation currency.

4.21 Provisions

Provisions for legal claims and make good obligations are recognised when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount can be reliably estimated.

Provisions are not recognised for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

The increase in the provision due to the passage of time is recognised as interest expense.

4.22 Borrowing costs

General and specific borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Qualifying assets are assets that necessarily take a substantial time to get ready for their intended use or sale. Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in consolidated statement of profit or loss in the period in which they are incurred.

4.23 Revenue recognition

Revenue is recognised when or as performance obligations are satisfied by transferring control of a promised good or service to a customer, and control either transfers over time or at a point in time. Revenue is measured at fair value of the consideration received or receivable, excluding discounts, commissions and government levies. Revenue is recognised upon satisfaction of performance obligations.

In case of local sales for all segments, except for made-to-order paper products produced by the paper segment, revenue is recognised at the time of despatch of goods from the factory.

In case of export sales, the delivery of goods and transportation are two distinct performance obligations and the total transaction price is allocated to each performance obligation. Revenue relating to each performance obligation is recognised on satisfaction of each distinct performance obligation.

In case of made-to-order paper products, revenue is recognised over time.

4.24 Finance income

Finance income comprises interest income on funds invested (financial assets), dividend income, gain on disposal of financial assets and changes in fair value of investments. Interest income is recognised as it accrues in profit or loss, using effective interest method. Dividend income is recognised in profit or loss on the date that the Group's right to receive payment is established.

4.25 Share capital

Ordinary shares are classified as equity and recognised at their face value. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, if any.

4.26 Dividend

Dividend distribution to the members is recognised as a liability in the period in which the dividends are approved.

4.27 Segment reporting

Segment reporting is based on the operating (business) segments of the Group. An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. An operating segment's operating results are reviewed regularly by the Chief Operating Decision Makers (the CODMs) to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available. The CODM, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Board of Directors of the parent company.

Segment results that are reported to the CODMs include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated items comprise mainly corporate assets, income tax assets, liabilities and related income and expenses. Segment capital expenditure is the total cost incurred during the year to acquire property, plant and equipment.

The business segments are engaged in providing products or services which are subject to risks and rewards which

differ from the risk and rewards of other segments.

The Group's strategic steering committee, consisting of the Board of Directors of the parent company, examines the Group's performance both from a product and geographic perspective and has identified three reportable segments of its business:

Cement segment: Production and sale of clinker, ordinary portland and sulphate resistant cements.

Paper segment: Manufacture and supply of paper products and packing material.

Dairy segment: Production and sale of raw milk.

4.28 Contingent liabilities and assets

Contingent liability is disclosed when:

- there is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non occurrence of one or more uncertain future events not wholly within the control of the Group; or
- there is present obligation that arises from past events but it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised. A contingent liability is disclosed unless the possibility of an outflow is remote.

Contingent asset is disclosed when an inflow of economic benefits is probable. Contingent assets are not recognised in the financial statements since this may result in recognition of income that may never be realised.

Contingent liabilities and assets are generally estimated using:

- The single most likely outcome; or
- A weighted average of all the possible outcomes (the 'expected value' method). This is likely to be the most appropriate method for a large population of similar claims, but can also be applied to a single obligation with various possible outcomes.

4.29 Contract asset and contract liability

A contract asset is recognised for the Group's right to consideration in exchange for goods or services that it has transferred to a customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, the Group presents the amount as a contract asset, excluding any amounts presented as a receivable.

A contract liability is recognised for the Group's obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration, or the Group has a right to an amount of consideration that is unconditional (i.e. a receivable), before the Group transfers a good or service to the customer, the entity shall present the contract as a contract liability when the payment is made or the payment is due (whichever is earlier).

4.30 Government grants

Grants from the government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all attached conditions. Government grants relating to costs are deferred and recognised in the profit or loss over the period necessary to match them with the costs that they are intended to compensate.

4.31 Rounding of amounts

All amounts disclosed in the consolidated financial statements and notes have been rounded off to the nearest thousand Rupees unless otherwise stated.

5. Issued, subscribed and paid up share capital

2024	2023		2024	2023
(Number of shares)			(Rupees in thousand)	
343,512,029	343,512,029	Ordinary shares of Rs 10 each fully paid in cash	3,435,120	3,435,120
20,000,000	20,000,000	Ordinary shares of Rs 10 each issued for consideration other than cash - note 5.2	200,000	200,000
74,607,089	74,607,089	Ordinary shares of Rs 10 each issued as fully paid bonus shares	746,071	746,071
438,119,118	438,119,118		4,381,191	4,381,191

5.1 137,574,201 (2023: 137,574,201), 428,500 (2023: 428,500) and 4,081 (2023: 6,122,518) ordinary shares of the parent company are held by the following related parties; Nishat Mills Limited, Security General Insurance Company Limited and Adamjee Life Assurance Company Limited respectively.

Nishat Mills Limited is an Investor and the parent company is an associate of Nishat Mills Limited as per IAS 28, "Investments in Associates and Joint Ventures".

5.2 20,000,000 ordinary shares of Rs 10 each were issued to the shareholders of D.G. Khan Electric Company Limited upon its merger with D.G. Khan Cement Company Limited on July 1, 1999. These shares were issued as consideration of merger against all assets, properties, rights, privileges, powers, bank accounts, trade marks, patents, leaves and licenses of D.G. Khan Electric Company Limited.

2024	2023
(Rupees in thousand)	

6. Other reserves

Composition of reserves is as follows:

Capital reserves

- Share premium	- note 6.1	4,557,163	4,557,163
- FVOCI reserve	- note 6.2	23,836,198	12,472,308
- Capital redemption reserve fund	- note 6.3	353,510	353,510
		28,746,871	17,382,981

Revenue reserve

- General reserve	- note 6.4	5,110,851	5,110,851
		33,857,722	22,493,832

6.1 This reserve can be utilised by the Group only for the purposes specified in section 81 of the Companies Act, 2017.

6.2 This represents the unrealised gain on remeasurement of equity investments at FVOCI and is not available for distribution.

6.3 The Capital redemption reserve fund represents fund created for redemption of preference shares. In accordance with the terms of issue of preference shares, to ensure timely payments, the Group was required to maintain a redemption fund with respect to preference shares. The Group had created a redemption fund and appropriated Rs 7.4 million each month from the consolidated statement of profit or loss in order to ensure that fund balance at redemption date was equal to the principal amount of the preference shares. The preference shares were redeemed during the year ended June 30, 2007.

- 6.4** The balance in general reserve has been accumulated by way of transfers from un-appropriated profits as per approval of the Board of Directors of the Group.

2024	2023
(Rupees in thousand)	

7. Long term finances from financial institutions - secured

From banking companies:

Loans under refinance scheme	-note 7.1	2,827,374	3,371,441
Long term loans	-note 7.2	20,056,180	14,065,595
		22,883,554	17,437,036
Current portion shown under current liabilities		(5,448,246)	(7,673,813)
		17,435,308	9,763,223

7.1 Loans under refinance scheme - secured

Lender	2024 (Rupees in thousand)	2023 (Rupees in thousand)	Number of instalments outstanding	Mark-up / Profit Payable
State Bank of Pakistan's Temporary Economic Refinance Facility (TERF)				
Loan 1				
National Bank of Pakistan	2,518,475	3,156,275	12 equal quarterly instalments ending in March 2027	Quarterly
State Bank of Pakistan's Islamic Temporary Economic Refinance Facility (ITERF)				
Loan 2				
Faysal Bank Limited -note 7.1.1	510,777	585,777	Equal semi-annual instalments of each tranche - note 7.1.1	Half yearly
Loan 3				
MCB Islamic Bank Limited	97,121	105,011	30 equal quarterly instalments ending in November 2031	Quarterly
	3,126,373	3,847,063		

Such facilities are available at mark-up / profit rates ranging from base rate plus 0.7% to 1.25% (2023: 0.5% to 0.75%) per annum. The base rate applicable during the year on such facilities is State Bank of Pakistan ('SBP') rate of 1% resulting in coupon rate ranging from 0.05% to 1.7% (2023: 0.50% to 1.7%) per annum.

Loan 1

This represents long term financing facility availed under SBP Temporary Economic Refinance Scheme ('TERF'). The loan is secured by first pari passu charge over present and future fixed assets of the Cement Segment for Rs 6,993.33 million with 25% margin.

Loan 2

This represents long term financing facility availed under SBP Islamic Temporary Economic Refinance Scheme ('ITERF'). The loan is secured by first pari passu charge of Rs 800 million over present and future fixed assets of the Cement Segment (including land & machinery).

Loan 3

This represents long term financing facility availed under SBP Islamic Temporary Economic Refinance Scheme ('ITERF'). The loan is secured by exclusive hypothecation and pari passu charge over specific plant and machinery of the Dairy Segment with 25% margin.

7.1.1 Lender - Faysl Bank Limited

Tranche	2024 (Rupees in thousand)	2023	Number of instalments outstanding	Profit Payable
Tranche 1	85,330	99,550	12 equal semi-annual instalments ending in May 2030	Half yearly
Tranche 2	108,170	123,624	14 equal semi-annual instalments ending in January 2031	Half yearly
Tranche 3	136,724	156,256	14 equal semi-annual instalments ending in February 2031	Half yearly
Tranche 4	180,553	206,347	14 equal semi-annual instalments ending in June 2031	Half yearly
	510,777	585,777		

2024

2023

(Rupees in thousand)

7.1.2 The reconciliation of the carrying amount is as follows:

Balance as at beginning of the year	3,847,063	5,017,826
Disbursements during the year	-	-
Repayments during the year	(720,690)	(1,170,763)
-note 7.1	3,126,373	3,847,063
Discount on liability:		
Balance as at beginning of the year	(475,622)	(694,680)
Unwinding of discount on liability	176,623	219,058
	(298,999)	(475,622)
Balance as at end of the year	2,827,374	3,371,441
Current portion shown under current liabilities	(803,213)	(941,873)
-note 15	2,024,161	2,429,568

7.2 Long term loans

Lender	2024 (Rupees in thousand)	2023	Number of instalments outstanding	Mark-up Payable
Loan 1 The Bank of Punjab	50,000	200,000	1 semi-annual instalment ending in December 2024	Half yearly
Loan 2 The Bank of Punjab	900,000	1,200,000	6 equal semi-annual instalments ending in May 2027	Half yearly
Loan 3 The Bank of Punjab - Islamic	600,000	900,000	6 equal semi-annual instalments ending in June 2027	Half yearly
Loan 4 Habib Bank Limited	250,000	750,000	1 semi-annual instalment ending in December 2024	Quarterly
Loan 5 Habib Bank Limited	249,980	749,941	1 semi-annual instalment ending in December 2024	Quarterly
Loan 6 Bank Alfalah Limited	250,000	1,000,000	1 semi-annual instalment ending in December 2024	Quarterly
Loan 7 Bank Alfalah Limited	-	250,000	Nil	Quarterly
Loan 8 Bank Alfalah Limited	562,500	1,031,250	6 equal quarterly instalments ending in December 2025	Quarterly
Loan 9 National Bank of Pakistan	299,000	897,000	2 equal quarterly instalments ending in October 2024	Quarterly
Loan 10 National Bank of Pakistan - Islamic	300,000	600,000	3 equal semi annual payments ending in December 2025	Half yearly
Loan 11 Allied Bank Limited	360,000	540,000	8 equal quarterly instalments ending in May 2026	Quarterly
Loan 12 Allied Bank Limited	980,667	2,288,222	3 equal quarterly instalments ending in March 2025	Quarterly
C/F	4,802,147	10,406,413		

Lender	2024 (Rupees in thousand)	2023	Number of instalments outstanding	Mark-up Payable
B/F	4,802,147	10,406,413		
Loan 13 Allied Bank Limited	500,000	1,166,667	3 equal quarterly instalments ending in January 2025	Quarterly
Loan 14 The Bank of Punjab	627,570	586,693	19 equal semi-annual instalments ending in December 2033	Quarterly
Loan 15 Allied Bank Limited	787,500	900,000	14 equal quarterly instalments ending in December 2027	Quarterly
Loan 16 Meezan Bank Limited	648,365	682,491	19 equal quarterly instalments ending in March 2029	Quarterly
Loan 17 Habib Bank Limited	120,000	240,000	2 equal semi annual instalments ending in June 2025	Half yearly
Loan 18 The Bank of Punjab	277,778	83,333	1 equal semi annual instalment ending in June 2025	Half yearly
Loan 19 Askari Bank	7,000,000	-	20 equal quarterly instalments starting in December 2025	Monthly
Loan 20 Allied Bank	2,100,000	-	24 equal quarterly instalments starting in November 2024	Quarterly
Loan 21 MCB Bank Limited	241,000	-	20 equal semi-annual instalments starting in November 2026	Quarterly
Loan 22 Dubai Islamic Bank	1,800,000	-	20 equal quarterly instalments starting in September 2026	Monthly
Loan 23 Allied Bank Limited	231,136	-	24 equal quarterly instalments, starting in August 2026	Quarterly
Loan 24 Meezan Bank Limited	1,170,686	-	12 equal semi annual instalments, starting in November 2026	Half yearly
	20,306,182	14,065,597		

Such facilities are available at mark-up rates ranging from three to six months Karachi Inter-Bank Offered Rate ('KIBOR') plus 0.15% to 0.35% (2023: three to six months KIBOR plus 0.15% to 0.75%) per annum. Markup rate charged during the year on outstanding balance ranged from 20.20% to 24.19% (2023: 14.69% to 23.22%) per annum.

7.2.1 Security

Loan 1

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 667 million with 25% margin.

Loan 2

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 2,000 million.

Loan 3

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,333 million.

Loan 4

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 3,333 million with 25% margin.

Loan 5

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 3,333 million with 25% margin.

Loan 6

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 3,333 million with 25% margin.

Loan 7

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 2,667 million.

Loan 8

Ranking charge over present and future fixed assets of the Cement Segment for Rs 2,000 million to be upgraded to first pari passu charge.

Loan 9

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 4,000 million with 25% margin.

Loan 10

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,333 million.

Loan 11

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,200 million with 25% margin.

Loan 12

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 7,867 million with 25% margin.

Loan 13

First pari passu charge over present and future fixed assets of the Cement Segment for Rs 1,333 million.

Loan 14

Joint pari passu charge of Rs 1,056 million over present and future fixed assets of the Cement Segment.

Loan 15

First pari passu charge over present and future fixed assets of the Cement Segment with 25% margin.

Loan 16

Joint pari passu charge over all present and future plant and machinery of the Cement Segment with 20% margin.

Loan 17

First pari passu hypothecation charge on present and future fixed assets (plant and machinery) of the Paper Segment with 25% margin.

Loan 18

First pari passu charge over present and future operating fixed assets (plant and machinery) of the Paper Segment with 25% margin.

Loan 19

First pari passu charge hypothecation charge over present and future fixed assets of the Cement segment.

Loan 20

First pari passu and mortgage charge over fixed assets of the Cement Segment with 25% margin.

Loan 21

First exclusive charge on pledge of shares for Rs 547 million.

Loan 22

Joint pari passu charge of Rs 2,400 million over present and future fixed assets of the Cement Segment with 25% margin.

Loan 23

First pari passu charge over present and future operating fixed assets (land, building, plant and machinery) of the Paper Segment.

Loan 24

All present and future plant and machinery of the Paper Segment which shall be upgraded to pari passu charge within 180 days from the date of first drawdown with 20% margin.

		2024	2023
		(Rupees in thousand)	
7.2.2 The reconciliation of the carrying amount is as follows:			
Opening balance		14,065,595	17,535,845
Disbursements during the year		12,602,529	2,038,739
Repayments during the year		(6,611,944)	(5,508,989)
		20,056,180	14,065,595
Current portion shown under current liabilities	-note 15	(4,645,033)	(6,731,940)
		15,411,147	7,333,655

8. Deferred government grant

This represents deferred grant recognised in respect of the benefit of below-market interest rate on the facilities as referred to in note 7.1 to these consolidated financial statements. The benefit has been measured as the difference between the fair value of the loan and the proceeds received. The Group used the prevailing market rate of mark-up/ profit at the date of disbursement for similar instruments to calculate fair values of respective loans. The discount rates used range from 7.34% to 7.76% per annum. The reconciliation of the carrying amount is as follows:

		2024	2023
		(Rupees in thousand)	
Opening balance		475,622	694,680
Deferred grant recognised during the year		-	-
Credited to profit or loss	-note 37	(176,623)	(219,058)
Closing balance		298,999	475,622
Current portion shown under current liabilities	-note 15	(128,767)	(176,664)
		170,232	298,958

There are no unfulfilled conditions or other contingencies attached to these grants.

9. Long term deposits

Customers	438,466	309,194
Others	134,282	130,503
	572,748	439,697

These include interest free security deposits from stockists and suppliers and are repayable on cancellation/withdrawal of the dealership or on cessation of business with the Group. As per the agreements signed with these parties, the Group has the right to utilise the amounts for the furtherance of their business, hence, the amounts are not required to be kept in a separate account maintained in a scheduled bank. Therefore, the Group is in compliance with section 217 of the Companies Act, 2017. These deposits have not been carried at amortised cost since the effect of discounting is immaterial in the context of these consolidated financial statements.

		2024	2023
		(Rupees in thousand)	
10. Employee benefits obligations			
Staff gratuity	- note 10.1	729,262	657,255
Accumulating compensated absences	- note 10.2	215,287	192,259
		944,549	849,514

10.1 Staff gratuity

The amounts recognised in the consolidated statement of financial position are as follows:

	2024	2023
	(Rupees in thousand)	
Present value of defined benefit obligation	1,462,680	1,243,229
Fair value of plan assets	(733,418)	(585,974)
Liability as at June 30	<u>729,262</u>	<u>657,255</u>

10.1.1 Movement in net liability for staff gratuity

Net liability as at beginning of the year	657,255	530,909
Current service cost	114,613	102,308
Net interest on defined benefit obligation	193,037	134,553
Return on plan assets during the year	(96,124)	(71,737)
	<u>211,526</u>	<u>165,124</u>
Total remeasurements for the year charged to consolidated statement of comprehensive income	(56,343)	42,105
Contributions made by the Group during the year	(83,176)	(80,883)
Net liability as at end of the year	<u>729,262</u>	<u>657,255</u>

10.1.2 Movement in present value of defined benefit obligation

Present value of defined benefit obligation as at beginning of the year	1,243,229	1,070,156
Current service cost	114,613	102,308
Interest cost	193,037	134,553
Payments against opening payables	(8,967)	(5,638)
Benefits paid during the year	(72,058)	(76,560)
Remeasurements:		
- Actuarial losses from changes in financial assumptions	(2,826)	5,051
- Experience adjustments	(4,348)	13,359
	<u>(7,174)</u>	<u>18,410</u>
Present value of defined benefit obligation as at end of the year	<u>1,462,680</u>	<u>1,243,229</u>

2024 **2023**
(Rupees in thousand)

10.1.3 Movement in fair value of plan assets

Fair value of plan assets as at beginning of the year	585,974	539,247
Interest income on plan assets	96,124	71,737
Contributions during the year	83,176	80,883
Benefits paid during the year	(81,025)	(82,198)
Remeasurements in fair value of plan assets	49,169	(23,695)
Fair value of plan assets as at end of the year	733,418	585,974

10.1.4 Plan assets

Plan assets are comprised as follows:

	2024		2023	
	(Rs in '000')	Percentage	(Rs in '000')	Percentage
Cash and bank balances	4,304	1%	85,951	15%
Debt instruments	729,114	99%	500,023	85%
	733,418	100.00%	585,974	100.00%

2024 **2023**
(Rupees in thousand)

10.1.5 Charge for the year

Current service cost	114,613	102,308
Interest cost	193,037	134,553
Interest income on plan assets	(96,124)	(71,737)
Total expense for the year	211,526	165,124

10.1.6 Total remeasurements charged to consolidated statement of comprehensive income

Actuarial (gain) / loss from changes in financial assumptions	(2,826)	5,051
Experience adjustments	(4,348)	13,359
	(7,174)	18,410
Remeasurements in plan assets, excluding interest income	(49,169)	23,695
	(56,343)	42,105

10.1.7 The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is:

			Impact on defined benefit obligation					
Change in assumptions			Increase in assumption			Decrease in assumption		
2024	2023		2024	2023		2024	2023	
Discount rate	-1.50%	3.00%	Decrease by	7.29%	8.11%	Increase by	6.19%	5.63%
Salary growth rate	-1.50%	3.00%	Increase by	6.26%	5.70%	Decrease by	7.46%	8.29%

The above sensitivity analysis are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the

same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the defined benefit liability recognised in the statement of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the prior period.

10.1.8 Risks associated with the defined benefit plan

- Final salary risk (linked to inflation risk) - Final salary risk (linked to inflation risk) – The risk that the final salary at the time of cessation of service is greater than what is currently assumed. Since, the benefit is calculated on the final salary (which will closely reflect inflation and other macroeconomic factors), the benefit amount increases as salary increases.

- Demographic risks

Mortality risk - The risk that the actual mortality experience is different than the assumed mortality. This effect is more pronounced in schemes where the age and service distribution is on the higher side.

Withdrawal risk - The risk of actual withdrawals experience is different from assumed withdrawal probability. The significance of the withdrawal risk varies with the age, service and the entitled benefits of the beneficiary.

- Investment risk – The risk of the investment underperforming and being not sufficient to meet the liabilities.

10.1.9 Expected contribution to the defined benefit plan for the year ending June 30, 2025 is Rs 196.330 million.

10.1.10 The weighted average duration of the defined benefit obligation is 7 years (2023 – 7 years). The expected benefit payment for the next 10 years and beyond is as follows:

	Less than a year	Between 1 to 2 years	Between 2 to 5 years	Over 5 years	Total
	(Rupees in thousand)				
June 30, 2024	196,330	153,818	580,875	20,221,859	21,152,882
June 30, 2023	140,800	112,207	551,974	27,105,259	27,910,240

2024	2023
(Rupees in thousand)	

10.2 Accumulating compensated absences

Opening balance	192,259	181,730
Charged to profit or loss	98,528	81,064
Payments made during the year	(74,803)	(23,623)
Liability as at year end	215,984	239,171
Current portion shown under current liabilities	(697)	(46,912)
	215,287	192,259

- note 15

	2024	2023
	(Rupees in thousand)	
10.2.1 Movement in liability for accumulating compensated absences		
Present value of accumulating compensated absences as at beginning of the year	192,259	181,730
Current service cost	78,033	61,391
Interest cost	25,108	19,406
Benefits due but not paid	(697)	(46,912)
Benefits paid during the year	(74,803)	(23,623)
Actuarial gain from changes in financial assumptions	(431)	-
Remeasurement in respect of experience adjustments	(4,182)	267
Present value of accumulating compensated absences as at year end	215,287	192,259
10.2.2 Charge for the year		
Current service cost	78,033	61,391
Interest cost	25,108	19,406
Remeasurement during the year	(4,613)	267
Total expense for the year	98,528	81,064

10.2.3 Assumptions used for valuation of the accumulating compensated absences are as under:

		2024	2023
Discount rate	Per annum	14.75%	16.25%
Expected rate of increase in salary	Per annum	13.75%	15.25%
Duration of the plan	Number of years	3	8
Expected withdrawal and early retirement rate		SLIC 2001-2005 mortality table	SLIC 2001-2005 mortality table

10.2.4 The sensitivity of the accumulating compensated balances to changes in the weighted principal assumptions is:

	Change in assumptions			Impact on accumulating compensated balances			
	2024	2023		Increase in assumption		Decrease in assumption	
				2024	2023	2024	2023
Discount rate	-1.50%	3.00%	Decrease by	6.97%	7.14%	Increase by	7.98%
Salary growth rate	-1.50%	3.00%	Increase by	7.89%	8.08%	Decrease by	8.17%

The above sensitivity analysis are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the accumulating leave absences to significant actuarial assumptions the same method (present value of the accumulating compensated absences calculated with the projected unit credit method at the end of the reporting period) has been applied for valuation of balance of accumulating compensated absences in the statement of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the prior period.

10.2.5 Risks associated with the accumulating compensated absences

- Final Salary Risk (linked to inflation risk) - Final Salary Risk (linked to inflation risk) - The risk that the final salary at the time of cessation of service is greater than what we assumed. Since, the benefit is calculated on the final salary (which will closely reflect inflation and other macroeconomic factors), the benefit amount increases as salary increases.

- Demographic risks

Mortality Risk - The risk that the actual mortality experience is different than the assumed mortality. This effect is more pronounced in schemes where the age and service distribution is on the higher side.

Withdrawal risk - The risk of actual withdrawals experience is different from assumed withdrawal probability. The significance of the withdrawal risk varies with the age, service and the entitled benefits of the beneficiary.

2024	2023
(Rupees in thousand)	

11. Deferred taxation

The net liability for deferred taxation comprises temporary taxable/(deductible) differences, unused tax credits and unused tax losses relating to:

Deferred tax liability

Accelerated tax depreciation	18,683,496	18,211,618
Un-realised gain on investments - net	3,177,696	1,046,058
Gain arising from changes in fair value of biological assets	448,955	446,011
	<u>22,310,147</u>	<u>19,703,687</u>

Deferred tax asset

Available unused minimum tax credit	(1,430,125)	(1,705,405)
Available unused Alternative Corporate Tax credit	(531,592)	(570,668)
Available unused tax losses	(6,336,912)	(5,684,910)
Loss allowance on financial assets	(126,550)	(86,235)
Employee benefit obligations	(368,645)	(349,606)
Others	(20,977)	(336)
	<u>(8,814,801)</u>	<u>(8,397,160)</u>
	<u>13,495,346</u>	<u>11,306,527</u>

The gross movement in net deferred tax liability during the year is as follows:

Opening balance	11,306,527	5,540,533
Charged to other comprehensive income	1,277,973	308,412
Charged to statement of profit or loss	910,846	5,457,582
Closing balance	<u>13,495,346</u>	<u>11,306,527</u>

Deferred tax asset on tax losses and tax credits available for carry forward have been recognised to the extent that the realisation of related tax benefits is probable from reversal of existing taxable temporary differences and future taxable profits. Based on the Group's approved business plan, it is probable that sufficient taxable profits will be available for utilisation of deferred tax asset. However, the Group has not recognised deferred tax asset in respect of minimum tax available for carry forward under section 113 of the Income Tax Ordinance, 2001 amounting to Rs 1,074.452 million (2023: Rs 1,423.472 million) as sufficient taxable profits would not be available to utilise these in the foreseeable future. These tax credits would expire as follows:

Accounting year to which minimum tax relates	Amount of minimum tax (Rupees in '000)	Accounting year in which minimum tax will expire
2021	161,081	2026
2023	824,630	2026
2024	88,741	2027
	<u>1,074,452</u>	

2024 **2023**
(Rupees in thousand)

12. Trade and other payables

Trade creditors	- note 12.1	6,337,625	6,211,761
Bills payable		181,408	332,640
Infrastructure cess		399,335	379,981
Contract liability	- note 12.2	1,722,828	2,701,621
Accrued liabilities	- note 12.3	3,956,070	4,241,422
Workers' Profit Participation Fund	- note 12.4	206,606	243,179
Workers' Welfare Fund	- note 12.5	56,263	32,673
Sales tax payable		42	295
Federal Excise Duty Payable		42,970	-
Withholding tax payable		39,734	33,659
Retention money payable		38,197	32,679
Export commission payable		220,506	166,256
Others	- note 12.6	118,353	81,500
		<u>13,319,937</u>	<u>14,457,666</u>

12.1 Trade creditors includes amount due to the following related parties:

Nishat Agriculture Farming (Private) Limited	78,867	19,635
Security General Insurance Company Limited	1,201	6,276
Adamjee Insurance Company Limited	-	2,085
Pakistan Aviators and Aviation (Private) Limited	512	512
Nishat Hotels and Properties Limited	173	9
	<u>80,753</u>	<u>28,517</u>

12.2 This represents contract liabilities of the Group towards various parties. Revenue recognised in the current year that was included in the contract liability balance of the Group at the beginning of the year amounts to Rs 1,214.787 million (2023: Rs 1,363.440 million).

12.3 Includes Gas Infrastructure Development Cess (GIDC) that was levied through GIDC Act, 2015. The Supreme Court of Pakistan (SCP) through its judgment dated August 13, 2020 has declared GIDC Act, 2015 a valid legislation. Under the judgement, all gas consumers including the Group were ordered to pay the outstanding GIDC liability as at July 31, 2020 to the Government of Pakistan in 24 equal monthly instalments. The Group has partially paid GIDC amounting to Rs 84.5 million. The Group also filed a Suit with the Sindh High Court against collection of GIDC instalments, before a factual determination of GIDC passed on to end consumers or not is carried out. The Sindh High Court granted a stay in March 2021 against recovery of GIDC payable from the Group till the finalisation of matter by the Court. The matter is currently pending in the Sindh High Court. The Group has followed the relevant accounting standards and guidelines of the Institute of Chartered Accountants of Pakistan (ICAP) in this regard.

12.4 Workers' profit participation fund

The reconciliation of carrying amount is as follows:

		2024	2023
		(Rupees in thousand)	
Opening balance		243,179	392,331
Provision for the year	- note 35	-	36,377
Interest for the year	- note 36	2,787	8,358
		245,966	437,066
Payments made during the year		(39,360)	(193,887)
Closing balance		206,606	243,179

12.5 Workers' welfare fund

The reconciliation of carrying amount is as follows:

Opening balance		32,673	22,004
Provision for the year	- note 35	23,590	19,800
		56,263	41,804
Payments made during the year		-	(9,131)
Closing balance		56,263	32,673

12.6 Includes payable to employees' provident fund amounting to Rs 45.217 million (2023: Rs 0.803 million).

13. Short term borrowings from financial institutions - secured

		2024	2023
		(Rupees in thousand)	
Short term running finances / short term borrowings	- note 13.1	6,050,218	22,449,758
Import finances	- note 13.2	5,543,161	1,897,265
Export finances	- note 13.3	3,515,000	3,578,000
		15,108,379	27,925,023

13.1 Short term running finances / short term borrowings

Short term running finance facilities and short term borrowings available from various banks under mark-up / profit arrangements aggregate to Rs 43,850 million (2023: Rs 44,975 million). Such facilities are available at mark-up / profit rates ranging from one to three months KIBOR plus -0.05% to 1% (2023: One to three months KIBOR plus -0.05% to 1%) per annum. The mark-up / profit rate charged during the year on the outstanding balance ranged from 17.95% to 24.16% (2023: 11.89% to 23.30%) per annum and mark-up / profit is payable monthly to quarterly. These are secured by first registered charge on all present and future current assets of the Group wherever situated including stores and spares, stock in trade, book debts, investments, receivables.

13.2 Import finances - secured

Import finance facilities available from various banks under mark-up / profit arrangements aggregate to Rs 24,650 million (2023: Rs 19,850 million). Such facilities are available at mark-up / profit rates ranging from one to six months KIBOR plus 0.02% to 0.07% (2023: one to six months KIBOR plus -0.10% to 0.05%) per annum. The mark-up / profit rate charged during the year on the outstanding balance ranged from 21.12% to 23.21% (2023: 10.64% to 22.96%) per annum and mark-up / profit is payable on settlement. The aggregate import finances are secured by a registered charge on all present and future current assets of the Group wherever situated including stores and spares, stock in trade, trade debts, investments and other receivables.

13.3 Export finances - secured

Export finance facilities available from various banks under mark-up / profit arrangements aggregate to Rs 14,250 million (2023: Rs 15,250 million). Such facilities are available at mark-up / profit rate agreed as per State Bank of Pakistan plus 0.25% to 1.00% (2023: State Bank of Pakistan agreed rate plus 0.25% to 1.00%) per annum. The Export Finance Scheme rate has ranged from 16% to 18% throughout the year. These loans are obtained for a period of 180 days and are secured against joint pari passu hypothecation charge over current assets of the Group.

13.4 Letters of credit and guarantees

Of the aggregate facility of Rs 52,895 million (2023: Rs 51,825 million) for opening letters of credit and Rs 5,350 million (2023: Rs 4,850 million) for guarantees, all being either main limits or sub-limits of the facilities, the amount utilised as at June 30, 2024 was Rs 2,036 million (2023: Rs 26,057 million) and Rs 3,806 million (2023: Rs 2,825 million) respectively. The facilities for opening letters of credit are secured against lien over import documents whereas aggregate facilities for guarantees are secured against registered joint pari passu charge over the present and future current assets of the Group. Of the facility for guarantees, Rs 14.48 million (2023: Rs 14.48 million) is secured by a lien over bank deposits as referred to in note 29.2.

		2024	2023
		(Rupees in thousand)	
14. Accrued markup			
Accrued mark-up/interest on:			
- Long term finances - secured		562,443	721,925
- Short term borrowings - secured		854,592	1,135,718
		1,417,035	1,857,643
15. Current portion of non-current liabilities			
Loans under refinance scheme	- note 7.1.2	803,213	941,873
Long term finances	- note 7.2.2	4,645,033	6,731,940
Accumulating compensated absences	- note 10.2	697	46,912
Deferred government grant	- note 8	128,767	176,664
		5,577,710	7,897,389

16. Contingencies and commitments

16.1 Contingencies

Contingent assets:

16.1.1 The matter relating to interpretation of provisions of section 4(2) of the repealed Central Excise Act, 1944 ('1944 Act') has been decided by the honourable Supreme Court of Pakistan through its judgment dated January 27, 2009 (upholding its previous judgment dated February 15, 2007). The longstanding controversy between the Revenue Department and the taxpayers primarily related to the interpretation of the provisions of section 4(2) of the 1944 Act wherein the department had a view that excise duty shall be included as a component for determination of the value (retail price) for levying excise duty. The departmental view was challenged by the taxpayers in appeals before the honourable High Court(s) of Pakistan which, duly appreciating the contentions of the taxpayers, overturned the departmental view and succeeded the appeals.

Now, since the controversy has attained finality up to the highest appellate level, the Group has initiated the process of claiming refund of excess excise duty paid by it during the periods from 1994 to 1999 which aggregates Rs 1,115.145 million. The amount of refund, however, shall be incorporated in the books of account once it is realized by the Group.

- 16.1.2** The Income Tax Officer, while framing the assessments for the assessment years 1984-85 to 1990-91, has taxed the income of the Group on account of the interest on the deposits and sale of scrap etc. The Appellate Tribunal on appeal filed by the Group issued an order in favour of the Group for the assessment years 1984-85 to 1990-91. The Income Tax Department filed reference before the Lahore High Court. Pending final outcome of such reference, no adjustment has been made in these financial statements for the relief granted by the Appellate Tribunal aggregating to Rs 35.090 million.

Contingent liabilities:

- 16.1.3** During the period 1994 to 1996, the Group imported plant and machinery relating to expansion unit, for which exemption was claimed under various SROs from the levy of custom duty and other duties including sales tax. As per the provisions of SRO 484(I)/92, 978(I)/95 and 569(I)/95, the exemption from the statutory duty would be available only if the said plant and machinery was not manufactured locally. However, the Custom Authorities rejected the claim of the Group by arguing that the said machinery was on the list of locally manufactured machinery, published by the Federal Board of Revenue. Consequently, the Group appealed before the Lahore High Court, Multan Bench, which allowed the Group to release the machinery on furnishing indemnity bonds with the Custom Authorities.

Collector of Customs and Central Excise, Multan, passed an order dated November 26, 1999, against the Group on the grounds that the said machinery was being manufactured locally during the time when it was imported.

After various appeals at different forums, the honourable Supreme Court of Pakistan remanded the case back to the Customs Authorities to reassess the liability of the Group. The custom authorities re-determined the liability of the Group upon which the Group preferred an appeal to the Customs Appellate Tribunal. The Tribunal decided the case in favour of the Group, upon which the Group discharged all liabilities. However, the custom authorities preferred a reference to the Lahore High Court, Multan Bench on November 19, 2013. Last hearing of the case was conducted on June 25, 2018. In case of any adverse decision, the management assesses liability to the tune of Rs 233.390 million. No provision for this amount has been made in the financial statements as according to the management of the Group, there are meritorious grounds that the ultimate decision would be in its favour.

- 16.1.4** The Competition Commission of Pakistan ('the CCP') took suo moto action under Competition Ordinance, 2007 and issued Show Cause Notice on October 28, 2008 for increase in prices of cement across the country. The similar notices were also issued to All Pakistan Cement Manufacturers Association ('APCMA') and its member cement manufacturers. The Group filed a writ petition in the Lahore High Court. The Lahore High Court, vide its order dated August 24, 2009 allowed the CCP to issue its final order. The CCP accordingly passed an order on August 28, 2009 and imposed a penalty of Rs 933 million on the Group. The Lahore High Court vide its order dated August 31, 2009 restrained the CCP from enforcing its order against the Group for the time being.

The vires of the Competition Commission of Pakistan have been challenged by a large number of petitioners and all have been advised by their legal counsels that prima facie the Competition Ordinance, 2007 is ultra vires of the Constitution of Pakistan. The Honourable Supreme Court of Pakistan sent the appeals of the petitioners to newly formed Competition Appellate Tribunal ('CAT') to decide the matter. The Group has challenged sections 42, 43 and 44 of the Competition Act, 2010 in the Sindh High Court. The Honourable Sindh High Court upon petition filed by large number of petitioners gave direction to CAT to continue with the proceedings and not to pass a final order till the time petition is pending in Sindh High Court. No provision for this amount has been made in the financial statements as according to the management of the Group, there are meritorious grounds that the ultimate decision would be in its favour.

- 16.1.5** The Group, consequent to the order-in-appeal passed by the learned Customs, Federal Excise and Sales Tax Appellate Tribunal, Lahore, filed a petition before the Lahore High Court on March 27, 2008, challenging the levy of sales tax on the in-house consumption of Shale, Gypsum and Limestone for the period from June 13, 1997 to August 11, 1998. Last hearing of the case was conducted on December 17, 2015. According to the legal counsel of the Group, meritorious grounds exist to support the position of the Group and the ultimate decision would be in the Group's favour, therefore the liability has not been incorporated in these financial statements amounting to Rs 212.239 million.

- 16.1.6** During the year, pursuant to the order of the Lahore High Court dated January 24, 2023, the sales tax department constituted a team to visit the manufacturing premises of the Group to verify the admissibility of input tax aggregating Rs 1,384.644 million as per provisions of Sales Tax Act, 1990, primarily related to construction / building material, pertaining to the tax periods from July 2018 to December 2020.

Subsequent to the visit of the department team, the DCIR vide order dated October 27, 2023 raised a demand of Rs 201.790 million including applicable default surcharge and penalty (amounting to Rs 10.071 million) imposed under sections 34 and 33(5) of the Sales Tax Act, 1990 respectively. The demands were raised primarily on account of disallowance of input sales tax on expenditures allegedly not part of the taxable activity of the Group. The Group has filed an appeal before the Commissioner Inland Revenue Appeals ('CIRA') against the said order.

The management, on the basis of consultation with its legal counsel, considers that meritorious grounds exist to support the position that the ultimate decision would be in the Group's favour, since similar cases have been previously decided in the favour of the Group, wherein such claim of input tax would be allowed to the Group. Therefore, such credit of input sales tax has not been reversed in these financial statements. However, in case of an adverse decision, such input sales tax shall be reversed and will primarily become part of the cost of the related fixed assets that would result in increase in depreciation charge of such fixed assets over their remaining useful lives. Consequently, no provision has been made in these financial statements on this account.

- 16.1.7** The DCIR through various orders for the specific tax periods between July 2022 to September 2023, has raised demands for recovery of sales tax of Rs 513.608 million, including applicable default surcharge and penalty imposed under sections 34 and 33 of the Sales Tax Act, 1990 respectively. The demands were raised primarily on account of disallowance of input sales tax on purchase of coal and gypsum from certain local suppliers, who were allegedly suspended / blacklisted subsequent to the conduct of transaction(s) with the Group. The Group has filed appeals before the CIR(A) and ATIR against the respective demand orders.

The management, on the basis of consultation with its legal counsel, considers that meritorious grounds exist to defend the Group's stance and that such sales tax demands are not likely to sustain appellate review by the appellate authorities. Consequently, no provision has been created in these financial statements on this account.

- 16.1.8** Commissioner Inland Revenue amended the assessments made for tax years 2016 and 2017 through order passed under 122 (5A) of the Income Tax Ordinance, 2001 and disallowed the adjustments on account of brought forward 'minimum' taxes of Rs 72.653 Million and Rs 44.850 Million claimed under section 113 and 113C of the Income Tax Ordinance, 2001 against normal tax liabilities pertaining to tax year 2016 and 2017 respectively. The Group preferred an appeal before the Commissioner Inland Revenue (CIR) (Appeals) against the order.

The CIR (Appeals) upheld the claim of the Group in order 31/A-V dated July 30, 2021 for tax credit under section 113 and 113C of the Income Tax Ordinance, 2001 and disposed the appeal. The Department has preferred an appeal before ATIR which has not been taken up for hearing.

- 16.1.9** The banks have issued the following guarantees on Group's behalf in favour of:

- Collector of Customs, Excise and Sales Tax against levy of sales tax, custom duty and excise amounting to Rs 30.538 million (2023: Rs 30.538 million).
- Director, Excise Collection Office, Sindh Development and Maintenance against recovery of infrastructure fee amounting to Rs 1,527.900 million (2023: Rs 1,177.900 million).
- The President of the Islamic Republic of Pakistan against the performance of a contract to Frontier Works Organization amounting to Rs 0.5 million (2023: Rs 0.5 million).
- Sui Northern Gas Pipelines Limited against supply of 6 MMCFD and 14 MMCFD gas for captive use at plants at Khairpur and at D.G. Khan respectively amounting to Rs 544.414 million (2023: Rs 544.414 million).
- Sindh High Court against levy of sales tax, custom duty and excise amounting to Rs 228.174 million (2023: Rs 228.174 million).

- Pakistan Railways against supply of cement amounting to Rs 10.808 million (2023: Rs 5.906 million).
- Directorate General of Mines & Minerals, Punjab against enhanced royalty rates on minerals amounting to Rs 172.08 million (2023: Nil).
- K-Electric against security deposits for electricity bills amounting to Rs 142.400 million (2023: Nil).
- Director excise and taxation, Karachi under direction of Sindh High Court in respect of suit filed for levy of infrastructure cess amounting to Rs 30 million (2023: Rs 26 million).
- Metro Habib Cash and Carry against purchase of goods and supplies on credit amounting to Nil (2023: Rs 2 million).
- Sui Northern Gas Pipelines Limited against connection of gas supply for Sukheki Farm amounting to Rs 26.6 million (2023: 26.6 million).
- Directorate General of Customs Valuation, Custom House Karachi on account of valuation ruling amounting to Rs. 22.65 million (2023: Rs. 21.77 million).
- The Director Excise and Taxation Karachi on account of infrastructure development cess amounting to Rs. 197.42 million (2023: Rs. 177.42 million).

16.1.10 The Cement segment has provided a guarantee to Meezan Bank Limited (MBL) against the loan provided by MBL to Hyundai Nishat Motor (Private) Limited, a related party, amounting to Rs 1,149.328 million (2023: Rs 1,238.471 million).

16.2 Commitments in respect of:

- (i) Contracts for capital expenditure Rs 107.609 million (2023: Rs 520.310 million).
- (ii) Letters of credit for capital expenditure Rs 48.046 million (2023: Rs 93.980 million).
- (iii) Letters of credit other than capital expenditure Rs 1,573.272 million (2023: Rs 1,246.104 million).
- (iv) The amount of future payments under leases and the period in which these payments will become due are as follows:

	2024	2023
	(Rupees in thousand)	
Not later than one year	425	425
Later than one year and not later than five years	1,650	1,699
Later than five years	3,061	3,474
	5,136	5,598

17. Property, plant and equipment

Operating fixed assets	- note 17.1	81,839,481	83,234,634
Capital work-in-progress	- note 17.2	1,689,590	2,166,286
Major spare parts and stand-by equipment	- note 17.3	330,315	199,546
		83,859,386	85,600,466

17.1 Operating fixed assets

2024										(Rupees in thousand)
	Annual rate of depreciation %	Cost as at July 01, 2023	Additions / (deletions)	Reclassification to assets held for sale	Cost as at June 30, 2024	Accumulated depreciation as at July 01, 2023	Depreciation charge/ (deletions) for the year	Reclassification to assets held for sale	Accumulated depreciation as at June 30, 2024	Book value as at June 30, 2024
	-	2,393,394	374,198	-	2,767,592	-	-	-	-	2,767,592
	3.33	263,000	-	-	263,000	59,773	8,767	-	68,540	194,460
	5 to 10	25,506,282	166,745	-	25,673,027	9,911,296	829,570	-	10,740,866	14,932,161
	5	4,039,988	57,642	-	4,097,630	1,138,351	146,415	-	1,284,766	2,812,864
	10	2,468,340	2,054	-	2,470,394	1,164,328	130,449	-	1,294,777	1,175,617
	3 to 9	82,735,404	1,533,473	322,708	84,383,585	27,245,833	2,310,582	150,070	29,611,650	54,771,935
			(208,000)				(94,835)			
	10	74,521	570	-	75,091	44,648	3,003	-	47,651	27,440
	10	4,479,526	-	-	4,420,051	2,541,726	149,274	-	2,648,644	1,771,407
			(59,475)				(42,356)			
	10 to 30	1,219,653	85,349	-	1,304,473	832,344	125,437	-	957,534	346,939
			(529)				(247)			
	20	1,330,800	157,919	-	1,410,875	667,448	120,573	-	735,682	675,193
			(77,844)				(52,339)			
	30	331,522	-	-	328,750	321,551	2,159	-	323,710	5,040
			(2,772)							
	10	4,225,367	288,277	-	4,513,644	1,905,865	248,946	-	2,154,811	2,358,833
		129,067,797	2,666,227	322,708	131,708,112	45,833,163	4,075,175	150,070	49,868,631	81,839,481
			(348,620)				(189,777)			

	Annual rate of depreciation %	2023							(Rupees in thousand)	
		Cost as at July 01, 2023	Additions / (deletions)	Reclassification to assets held for sale	Cost as at June 30, 2024	Accumulated depreciation as at July 01, 2023	Depreciation charge/ (deletions) for the year	Reclassification to assets held for sale	Accumulated depreciation as at June 30, 2024	Book value as at June 30, 2024
Freehold land - note 17.1.2	-	2,208,261	201,438	-	2,393,394	-	-	-	-	2,393,394
Leasehold land	3.33	263,000	(16,305)	-	263,000	51,006	8,767	-	59,773	203,227
Buildings on freehold land and leasehold land										
- Factory building	5 to 10	25,441,279	65,003	-	25,506,282	9,041,546	869,750	-	9,911,296	15,594,986
- Office building and housing colony	5	3,981,536	58,452	-	4,039,988	986,915	151,436	-	1,138,351	2,901,637
Roads	10	2,465,710	2,630	-	2,468,340	1,019,560	144,768	-	1,164,328	1,304,012
Plant and machinery	3 to 9	81,570,998	1,487,306	(322,708)	82,735,404	25,042,055	2,353,848	(150,070)	27,245,833	55,489,571
			(192)							
Factory equipment	10	73,960	561	-	74,521	41,335	3,313	-	44,648	29,873
Quarry equipment	10	4,473,612	5,914	-	4,479,526	2,376,010	165,716	-	2,541,726	1,937,800
Furniture, fixture and office equipment	10 to 30	1,161,015	213,865	-	1,219,653	858,000	116,009	-	832,344	387,309
			(155,227)				(141,665)			
Vehicles	20	1,178,714	180,038	-	1,330,800	577,674	105,122	-	667,448	663,352
			(27,952)				(15,348)			
Aircraft Parts	30	331,522	-	-	331,522	318,467	3,084	-	321,551	9,971
Power and water supply lines	10	4,204,490	20,877	-	4,225,367	1,649,007	256,858	-	1,905,865	2,319,502
		127,354,097	2,236,084	(322,708)	129,067,797	41,961,575	4,178,671	(150,070)	45,833,163	83,234,634
			(199,676)	-			(157,013)	-		

Detail of operating fixed assets sold during the year is as follows:

Detail of operating fixed assets sold during the year is as follows:

2024

2023

17.2 Capital work-in-progress

	2024							(Rupees in thousand)
	Balance as at July 1, 2023	Capital expenditure incurred during the year	Borrowing cost capitalized during the year	Charged off during the year	Transfers within capital work-in-progress	Transfers to operating fixed assets	Transfers to major spare parts and stand by equipment	Balance as at June 30, 2024
Civil works	776,270	789,852	-	(8)	(4,478)	(548,373)	-	1,013,263
Plant and machinery	1,252,075	1,592,761	-	(4,655)	(977,441)	(1,322,734)	-	540,006
Advances to suppliers and contractors - note 17.2.1	91,594	364,873	-	-	(345,524)	-	-	110,943
Others	46,347	31,892	26,722	(1,785)	-	(77,798)	-	25,378
	2,166,286	2,779,378	26,722	(6,448)	(1,327,443)	(1,948,905)	-	1,689,590

	2023							(Rupees in thousand)
	Balance as at July 1, 2022	Capital expenditure incurred during the year	Borrowing cost capitalized during the year	Charged off during the year	Transfers within capital work-in-progress	Transfers to operating fixed assets	Transfers to major spare parts and stand by equipment	Balance as at June 30, 2023
Civil works	367,636	587,365	-	(2,243)	-	(176,488)	-	776,270
Plant and machinery	330,636	2,127,672	-	-	125,138	(1,331,371)	-	1,252,075
Advances to suppliers and contractors	64,163	164,803	-	-	(125,138)	(12,234)	-	91,594
Others	13,433	23,512	89,652	(25,318)	-	(54,932)	-	46,347
	775,868	2,903,352	89,652	(27,561)	-	(1,575,025)	-	2,166,286

17.2.1 This represents advance paid to Pakistan Aviators and Aviation (Pvt.) Limited, a related party, of Rs 82.195 million (2023: 6.991 million) on account of capital expenditure related to the procurement of Aircraft Parts. The maximum aggregate amount receivable at the end of any month during the year was Rs 83.915 million (2023: Rs 6.991 million). The balances are neither past due nor impaired.

2024	2023
(Rupees in thousand)	

17.3 Major spare parts and stand-by equipment

The reconciliation of carrying amount is as follows:

Balance at the beginning of the year	199,546	145,664
Additions during the year	202,433	432,596
	401,979	578,260
Transfers made during the year	(71,664)	(378,714)
Balance at the end of the year	330,315	199,546

17.4 All operating fixed assets of Cement and Paper segments are pledged as security against long term finances as referred to in note 7.

2024	2023
(Rupees in thousand)	

18. Intangible assets

This represents computer software and related license(s).

The reconciliation of carrying amount is as follows:

COST

Balance as at July 01	21,500	21,500
Additions during the year	56,155	-
Balance as at June 30	77,655	21,500

AMORTIZATION

Balance as at July 01	11,347	4,181
Charge for the year	23,545	7,166
Balance as at June 30	34,892	11,347

Book value as at June 30	42,763	10,153
--------------------------	--------	--------

Annual amortisation rate %	33.33%-50%	33.33%
----------------------------	------------	--------

19. Biological assets

This represents dairy livestock. It consists of the following:

- Mature	843,740	864,610
- Immature	323,260	284,025
- Bulls	436	1,977
	1,167,436	1,150,612

19.1 Reconciliation of carrying amounts of dairy livestock

Opening balance	1,150,612	964,995
Fair value gain due to new births	130,881	137,742
Changes in fair value (due to price change, exchange fluctuations and biological transformation)	241,550	303,714
	372,431	441,456
Purchases during the year	13,300	-
Decrease due to deaths / livestock losses	(49,551)	(27,795)
Decrease due to sale of livestock	(319,356)	(228,044)
Carrying amount at the end of the year which approximates the fair value	1,167,436	1,150,612

19.2 As at June 30, 2024 the Group held 3,406 (2023: 3,535) mature assets able to produce milk and 3,488 (2023: 3,319) immature assets that are being raised to produce milk in the future. During the year, 3,096 (2023: 2,678) were sold. During the year, the segment produced approximately 37.71 million (2023: 36.53 million) gross litres of milk from these biological assets. As at June 30, 2024, the Group also held 19 (2023: 50) immature male calves.

19.3 The valuation of dairy livestock as at June 30, 2024 has been carried out by an independent valuer. In this regard, the valuer examined the physical condition of the livestock, assessed the key assumptions and estimates and relied on the representations made by the segment as at June 30, 2024. Further, market and replacement values of similar live stock from active markets in Pakistan have been used as basis of valuation model by the independent valuer. The milking animals have been classified according to their lactations. As the number of lactations increase, the fair value keeps on decreasing.

		2024	2023
		(Rupees in thousand)	
20. Investments			
These represent the long term investments in:			
- Related parties	- note 20.1	14,892,242	11,305,496
- Others	- note 20.2	321,355	168,693
		15,213,597	11,474,189
20.1 Related parties			
FVOCI - quoted:			
Nishat (Chunian) Limited			
7,173,982 (2023: 7,173,982) fully paid ordinary shares of Rs 10 each Equity held: 2.99% (2023: 2.99%) Cost - Rs 75.565 million (2023: Rs 75.565 million)		188,030	145,632
MCB Bank Limited			
25,915,699 (2023: 25,915,699) fully paid ordinary shares of Rs 10 each Equity held: 2.190% (2023: 2.190%) Cost - Rs 767.830 million (2023: Rs 767.830 million)		5,883,404	2,966,570
Adamjee Insurance Company Limited			
27,877,735 (2023: 27,877,735) fully paid ordinary shares of Rs 10 each Equity held: 7.97% (2023: 7.97%) Cost - Rs 1,239.698 million (2023: Rs 1,239.698 million)		1,001,089	630,873
Nishat Mills Limited			
30,289,501 (2023: 30,289,501) fully paid ordinary shares of Rs 10 each Equity held: 8.61% (2023: 8.61%) Cost - Rs 1,326.559 million (2023: Rs 1,326.559 million)		2,146,011	1,719,535
	sub-total	9,218,534	5,462,610
FVOCI - unquoted:			
Nishat Hotels and Properties Limited			
104,166,667 (2023: 104,166,667) fully paid ordinary shares of Rs 10 each Equity held: 8.55% (2023: 8.55%) Cost - Rs 1,041.667 million (2023: Rs 1,041.667 million)			
	- note 20.1.1	2,002,083	1,995,782
Hyundai Nishat Motor (Private) Limited			
195,623,000 (2023: 195,623,000) fully paid ordinary shares of Rs 10 each Equity held: 10% (2023: 10%) Cost - Rs 1,956.23 million (2023: Rs 1,956.23 million)			
	- note 20.1.2	3,671,625	3,847,104
		5,673,708	5,842,886
		14,892,242	11,305,496

20.1.1 This represents investment in the ordinary shares of Nishat Hotels and Properties Limited ('NHPL') which is principally engaged in establishing and managing a multi-purpose facility including a shopping mall, hotel, and banquet halls in Johar Town, Lahore, by the name of 'Nishat Emporium'. Since NHPL's ordinary shares are not listed, an independent valuer engaged by the Group has estimated a fair value of Rs 19.22 per ordinary share as at June 30, 2024 (2023: Rs 19.16 per share) through a valuation technique based on discounted cash flow analysis of NHPL. Hence, it has been classified under level 3 of fair value hierarchy as further explained in note 48.3 to these financial statements. The fair value gain of Rs 6.301 million recognised during the year is included in other comprehensive income.

The main level 3 inputs used by the Group are derived and evaluated as follows:

- Discount rate is determined using a capital asset pricing model to calculate a post-tax rate that reflects current market assessments of the time value of money and the risk specific to NHPL.

- Long term growth rate is estimated based on historical performance of NHPL and current market information for similar type of entities.

The significant assumptions used in this valuation technique are as follows:

- Discount rate of 17.96% per annum.

- Long term growth rate of 2% per annum for computation of terminal value.

- Annual growth in costs is linked to inflation with a range of 6.50% to 12.70% per annum.

Sensitivity analysis

Sensitivity analysis of the significant assumptions used in the valuation technique are as follows:

If the discount rate increases by 1% with all other variables held constant, the impact on fair value as at June 30, 2024 would be Rs 190.625 million lower.

If the long term growth rate decreases by 1% with all other variables held constant, the impact on fair value as at June 30, 2024 would be Rs 60.417 million lower.

If inflation decreases by 1% with all other variables held constant, the impact on fair value as at June 30, 2024 would be Rs 17.708 million higher.

If interest rate increases by 1% with all other variables held constant, the impact on fair value as at June 30, 2024 would be Rs 5.208 million lower.

20.1.2 This represents investment in the ordinary shares of Hyundai Nishat Motor (Private) Limited ('HNMPL') that has setup up a greenfield project for assembly and sales of Hyundai Motor Company passenger and commercial vehicles. Since HNMPL's ordinary shares are not listed, an independent valuer engaged by the Group has estimated a fair value of Rs 18.77 per ordinary share as at June 30, 2024 (2023: Rs 19.67 per share) through a valuation technique based on discounted cash flow analysis of HNMPL. Hence, it has been classified under level 3 of fair value hierarchy as further explained in note 48.3 to these financial statements. The fair value loss of Rs 175.478 million recognised during the year is included in other comprehensive income.

The main level 3 inputs used by the Group are derived and evaluated as follows:

- Discount rate is determined using a capital asset pricing model to calculate a post-tax rate that reflects current market assessments of the time value of money and the risk specific to HNMPL.

- Long term growth rate is estimated based on historical performance of HNMPL and current market information for similar type of entities.

The significant assumptions used in this valuation technique are as follows:

- Discount rate of 22.46% per annum.

- Long term growth rate of 2% per annum for computation of terminal value.

- Annual growth in costs are linked to inflation and currency devaluation with a range of 6.17% to 11.74%, and 2.17% to 3% per annum respectively, and revenues are linked to currency devaluation at 2.17% to 3% per annum.

Sensitivity analysis

Sensitivity analysis of the significant assumptions used in the valuation technique are as follows:

If the discount rate increases by 1% with all other variables held constant, the impact on fair value as at June 30, 2024 would be Rs 157.204 million lower.

If the long term growth rate decreases by 1% with all other variables held constant, the impact on fair value as at June 30, 2024 would be Rs 63.486 million lower.

If inflation decreases by 1% with all other variables held constant, the impact on fair value as at June 30, 2024 would be Rs 107.811 million higher.

If interest rate increases by 1% with all other variables held constant, the impact on fair value as at June 30, 2024 would be Rs 15.431 million lower.

	2024	2023
	(Rupees in thousand)	
20.2 Others		
FVOCI - quoted:		
Pakistan Petroleum Limited		
821,626 (2023: 821,626) fully paid ordinary shares of Rs 10 each		
Equity held: 0.03% (2023: 0.03%)		
Cost - Rs 117.405 million (2023: Rs 117.405 million)	96,221	48,591
United Bank Limited		
214,354 (2023: 214,354) fully paid ordinary shares of Rs 10 each		
Equity held: 0.02% (2023: 0.02%)		
Cost - Rs 33.646 million (2023: Rs 33.646 million)	54,926	25,195
Nishat (Chunian) Power Limited		
5,683,067 (2023: 5,683,067) fully paid		
ordinary shares of Rs 10 each		
Equity held: 1.55% (2023: 1.55%)		
Cost - Rs 102.408 million (2023: Rs 102.408 million)	170,208	94,907
	321,355	168,693
20.3 Reconciliation of carrying amount		
Balance as at beginning of the year	11,474,189	10,636,098
Investments made during the year - note 20.3.1	-	1,369,359
Shares received as a result of merger scheme - note 20.3.2	-	102,408
	11,474,189	12,107,865
Fair value loss recognised in other comprehensive income	3,739,408	(633,676)
Balance as at end of the year	15,213,597	11,474,189

20.3.1 This includes 100.75 million shares acquired against right issue of HNMP L at a par value of Rs 10 per ordinary share.

20.3.2 Pursuant to the Scheme of Compromises, Arrangement and Reconstruction (Under Sections 279 to 283 and 285 of the Companies Act, 2017) amongst Nishat (Chunian) Limited and its members and Nishat Chunian Properties (Private) Limited and its members duly sanctioned by Honorable Lahore High Court, Lahore, the Group on, 18 August 2022, received 5,683,067 ordinary shares of Nishat Chunian Power Limited as one of the principal objects of the Scheme was to make Nishat (Chunian) Limited and Nishat Chunian Power Limited totally independent of each other by the transfer amongst the members of Nishat (Chunian) Limited of 187,585,820 ordinary shares of Nishat Chunian Power Limited owned by Nishat (Chunian) Limited. Hence, the Group has also become a shareholder of Nishat Chunian Power Limited with effect from August 18, 2022.

20.4 3,860,267 (2023: 3,860,267) shares of MCB Bank Limited are blocked in Central Depository Company ('CDC') account.

2024	2023
(Rupees in thousand)	

21. Long term loans to employees

Long term loans - considered good	-	9,097
Less: Current portion shown under current assets	- note 28	(9,097)
	-	-

This represents interest free loans given to employees, receivable in monthly instalments in accordance with the Group's policy. These loans are secured against the accumulated provident fund balance of the relevant employee. These loans have not been carried at amortised cost as the effect of discounting is not considered material. The total balance includes amounts due from executives of Nil (2023: Rs 8.23 million).

22. Long term deposits

These represent security deposits against various goods and services. These deposits have not been carried at amortised cost mainly because the period after which the deposits are to be refunded is indefinite. Further, the effect of discounting is immaterial in the context of these financial statements.

2024	2023
(Rupees in thousand)	

23. Stores, spare parts and loose tools

Stores [including in transit: Rs 88.61 million (2023: Rs 1,028.872 million)]	4,538,737	6,746,470
Spare parts [including in transit Rs 495.65 million (2023: Rs 294.019 million)]	9,834,271	7,317,381
Loose tools	72,063	62,288
	14,445,071	14,126,139

23.1 Stores and spare parts include items which may result in fixed capital expenditure but are not distinguishable.

2024	2023
(Rupees in thousand)	

24. Stock-in-trade

Raw materials [including in transit Rs 276.48 million (2023: Rs.328.280 Million)]	1,186,760	2,079,012
Packing material	536,751	491,853
Animal forage [including in transit Rs 112.36 million (2023: Nil)]	1,118,765	856,024
Work-in-process	5,050,433	6,199,920
Finished goods	1,635,773	1,610,637
	9,528,482	11,237,446

25. Trade debts

		2024	2023
		(Rupees in thousand)	
Considered good			
- Related parties	- note 25.1	32,959	15,347
- Others		1,246,239	1,427,713
		1,279,198	1,443,060
Loss allowance	- note 25.2	(323,163)	(220,509)
		956,035	1,222,551

25.1 This is from the following related parties:

Nishat Sutas Dairy Limited	2,200	-
Nishat Mills Limited	30,755	1,777
Hyundai Nishat Motor (Private) Limited	-	11,689
Pakistan Aviators And Aviation (Private) Limited	-	1,877
Nishat Agriculture Farming (Private) Limited	4	4
	32,959	15,347

25.1.1 The maximum aggregate amount outstanding at the end of any month during the year was Rs 45.959 million (2023: Rs 44.763 million). The aging analysis of trade debts from related parties that are past due and carry loss allowance is as follows:

	2024	2023
	(Rupees in thousand)	
Up to 90 days	7,149	15,343
91 to 180 days	11,447	4
181 to 365 days	12,586	-
Above 365 days	1,777	-
	32,959	15,347
Loss allowance	(8,589)	(2,213)
	24,370	13,134

26.2 The reconciliation of loss allowance is as follows:

Balance at the beginning of the year	220,509	120,528
Loss allowance charged during the year	102,654	99,981
Balance as at end of the year	323,163	220,509

26. Contract assets

Contract assets represents the Group's right to consideration for work completed but not billed at the reporting date on made to order paper products. The contract assets are transferred to receivables when the rights become unconditional. This usually occurs when the Group issues an invoice to the customer.

27 Investments

FVOCI - quoted:

Related parties	- note 27.1	18,384,882	9,270,898
-----------------	-------------	------------	-----------

At FVPL

Others	- note 27.2	26	15
	- note 27.3	18,384,908	9,270,913

At Amortized Cost

Term deposit certificates	- note 27.4	25,000	5,000
		18,409,908	9,275,913

27.1 This represents the following quoted investments in related parties:

Nishat (Chunian) Limited

100,620 (2023: 100,620) fully paid ordinary shares of Rs 10 each

Equity held: 0.042% (2023: 0.042%)

Cost - Rs 0.832 million (2023: Rs 0.832 million)

MCB Bank Limited

80,971,917 (2023: 80,971,917) fully paid ordinary shares of Rs 10 each

Equity held: 6.83% (2023: 6.83%)

Cost - Rs 478.234 million (2023: Rs 478.234 million)

27.2 This represents the following quoted investments in other parties:

Habib Bank Limited

210 (2023: 210) fully paid ordinary shares of

Rs. 10 each at cost

27.3 Reconciliation of carrying amount

Opening balance

Fair value loss recognised in other comprehensive income

Fair value loss recognised in profit or loss

Closing balance

27.4 This represents term deposit receipts having maturity of six months to one year from the date of purchase. These bear markup at the rate ranging from 18.25% - 19.75% (2023: 16.25% to 19.75%) per annum.

2024

2023

(Rupees in thousand)

	2,637	2,043
	18,382,245	9,268,855
	18,384,882	9,270,898
	26	15
	9,270,913	9,962,440
	9,113,984	(691,523)
	11	(4)
	18,384,908	9,270,913

2024

2023

(Rupees in thousand)

28. Loans, advances, deposits, prepayments and other receivables

Current portion of loans to employees

- note 28.1

Advances

- To employees

- To suppliers

Prepayments

- note 28.2

Due from related parties

- note 28.3

Letters of credit - margins, deposits, opening charges, etc.

Balances with statutory authorities:

- Sales tax

- Excise duty

- Export rebate

Other advances

Other receivables

- note 28.4

Loss allowance

	17,837	9,097
	14,351	115,574
	101,445	89,831
	115,796	205,405
	11,683	15,845
	23,168	6,686
	3,834	77,320
	802,848	1,280,317
	-	16,713
	15,304	13,430
	818,152	1,310,460
	-	-
	3,055	65,872
	993,525	1,690,685
	(1,631)	(1,631)
	991,894	1,689,054

28.1 This includes Rs 17.34 million (2023: Rs 8.22 million) in respect of loan provided to executives.

28.2 This includes prepayments to Adamjee Insurance Company Limited, a related party, of Rs 5.700 million (2023: Rs 6.154 million) on account insurance premium. The maximum aggregate amount outstanding at the end of any month during the year was Rs 19.728 million (2023: Rs 12.151 million). The balances are neither past due nor impaired.

	2024	2023
	(Rupees in thousand)	
28.3 Includes amounts due from the following related parties:		
Nishat Mills Limited	62	62
Nishat Linen (Private) Limited	3,511	2,141
Hyundai Nishat Motor (Private) Limited	10,995	8
Nishat Sutas Dairy Limited	337	489
Nishat Agriculture Farming (Private) Limited	8,263	3,986
- note 28.3.2	23,168	6,686

28.1.1 The maximum aggregate amount outstanding at the end of any month during the year was Rs 10.995 million (2023: Rs 6.686 million). The balances are neither past due nor impaired.

28.4 Includes a receivable of Rs 0.833 million (2023: Rs 5.793 million) from Hyundai Nishat Motor (Private) Limited, being a related party of the Group. The maximum aggregate amount outstanding at the end of any month during the year of Hyundai Nishat Motor (Private) Limited was Rs 4.817 million (2023: Rs 5.793 million). This amount is neither past due nor impaired.

	2024	2023
	(Rupees in thousand)	

29. Cash and bank balances

At banks:		
Saving accounts:		
- Local currency	88,271	353,172
- Foreign currency: US\$ 876,481 (2023: 547,892)	243,925	132,969
Saving accounts:		
- Local currency - notes 29.1, 29.2 & 29.3	306,662	283,197
- Foreign currency: US\$ 1,248,304 (2023: US\$ 1,481,054)	347,403	423,567
	986,261	1,192,905
In hand	972	14,955
	987,233	1,207,860

29.1 The balances in saving accounts bear mark-up ranging from 15.71% to 26.17% (2023: 11.5% to 19.5%) per annum.

29.2 Included in balances at banks on saving accounts are Rs 14.480 million (2023: Rs 14.480 million) which are under lien to secure bank guarantees referred to in note 13.4.

29.3 Included in balances at banks in saving accounts is Rs 0.006 million (2023: Rs 0.004 million) which relates to unpaid dividend held by the Group.

30. Non-current assets classified as held for sale

During the prior year, the management committed to a plan to sell one of Paper segment's production line. Accordingly, that asset was presented as asset held for sale in accordance with IFRS-5 "Non-current Assets Held for Sale and Discontinued Operations". During the current year, the management has discontinued the plan to sell the Paper segment's production line. Consequently, the asset has been ceased to be classified as asset held for sale in accordance with IFRS-5 and has been reclassified to operating fixed assets.

		2024	2023
		(Rupees in thousand)	
Plant and machinery	- note 17.1	-	172,638
		-	172,638
31. Revenue			
Local sales	- note 31.1	82,292,688	81,890,688
Export sales	- note 31.2	11,589,607	9,442,414
		93,882,295	91,333,102
Less:			
Sales tax		13,461,545	12,968,932
Federal Excise Duty		7,214,442	6,758,416
Trade discount		742,881	744,926
Commission to stockists and export agents		381,485	293,347
Ocean freight	- note 31.3	193,863	72,280
		21,994,216	20,837,901
		71,888,079	70,495,201

31.1 This includes unbilled revenue amounting to Rs. 71.94 million (2023: Rs. 67.40 million).

31.2 It includes rebate and incentive on exports amounting to Rs 4.64 million (2023: Rs 3.67 million) and Rs 18.311 million (2023: Rs 20.197 million) respectively. Incentive is received due to early shipment made under the contract.

31.3 Represents freight cost incurred upon shipping goods to export customers under cost and freight terms in the capacity of agent.

32. Cost of sales

		2024	2023
		(Rupees in thousand)	
Raw and packing materials consumed		4,456,429	4,277,672
Forage		3,481,097	3,228,205
Medicines and related items		248,276	194,760
Salaries, wages and other benefits	- note 32.1	5,744,417	5,103,541
Fuel and power		33,483,503	38,446,526
Stores and spares consumed		4,494,767	4,141,863
Repairs and maintenance		434,895	356,640
Insurance		182,922	160,208
Depreciation on operating fixed assets	- note 17.1.3	3,973,984	4,098,393
Royalty	- note 32.2	541,591	821,920
Excise duty		398,223	35,954
Vehicle running		528,477	415,585
Postage, telephone and telegram		13,463	10,839
Printing and stationery		25,589	24,248
Legal and professional charges		9,407	6,086
Travelling and conveyance		25,683	25,612
Plant cleaning and gardening		62,999	52,554
Rent, rates and taxes	- note 32.3	294,280	198,727
Freight charges		109,404	94,096
Water charges		6,108	15,747
Security expenses		247,505	217,990
Input sales tax written off		210,647	92,634
Other expenses		192,938	184,123
		59,166,604	62,203,923
Opening work-in-process	- note 24	6,199,920	4,612,748
Closing work-in-process	- note 24	(5,050,433)	(6,199,920)
		1,149,487	(1,587,172)
Cost of goods manufactured		60,316,091	60,616,751
Opening stock of finished goods	- note 24	1,610,637	845,683
Closing stock of finished goods	- note 24	(1,635,774)	(1,610,637)
		(25,137)	(764,954)
Own consumption		(14,654)	(30,880)
		60,276,300	59,820,917

- 32.1** Salaries, wages and other benefits include Rs 129.902 million (2023: Rs 112.288 million), in respect of provident fund contribution by the Group. Further, the provision for gratuity and accumulating compensated absences included in the above is as follows:

	2024	2023
	(Rupees in thousand)	
Gratuity		
Current service cost	90,915	81,195
Interest cost for the year	153,123	106,786
Interest income on plan assets	(76,249)	(56,933)
	167,789	131,048
Accumulating compensated absences		
Current service cost	63,673	48,810
Interest cost for the year	20,487	15,429
Remeasurements	(3,764)	212
	80,396	64,451

- 32.2** This includes reversal of provision of royalty amounting to Rs 628.026 million pursuant to the decision of the honourable Supreme Court of Pakistan in favour of the gGroup to the extent of retrospective application of revised royalty rate(s) through impugned notification of the Secretary Mines and Minerals Department, Government of Balochistan.

- 32.3** This includes rentals of heavy machinery used at quarry site where raw materials i.e. clay and limestone, are extracted.

		2024	2023
		(Rupees in thousand)	
33. Administrative expenses			
Salaries, wages and other benefits	- note 33.1	633,315	526,923
Electricity, gas and water		124,809	84,126
Repairs and maintenance		14,266	15,776
Insurance		38,030	25,333
Amortization of intangible asset	- note 18	23,545	7,166
Depreciation on operating fixed assets	- note 17.1.3	87,850	68,481
Vehicle running		45,026	33,246
Postage, telephone and telegram		16,132	15,225
Printing and stationery		47,543	37,260
Legal and professional services	- note 33.2	83,701	38,453
Travelling and conveyance		101,606	79,545
Rent, rates and taxes		1,994	2,471
Entertainment		7,967	5,741
School expenses		72,481	63,509
Fee and subscription		34,108	31,475
Other expenses		34,173	10,905
		1,366,546	1,045,635

- 33.1** Salaries, wages and other benefits include Rs 19.353 million (2023: Rs 16.716 million) in respect of provident fund contribution by the Group. Further, the provision for gratuity and accumulating compensated absences included in the above is as follows:

	2024	2023
	(Rupees in thousand)	
Gratuity		
Current service cost	14,570	12,720
Interest cost for the year	24,540	16,729
Interest income on plan assets	(12,220)	(8,919)
	26,890	20,530
Accumulating compensated absences		
Current service cost	8,651	7,551
Interest cost for the year	2,784	2,387
Remeasurements	(511)	33
	10,924	9,971

33.2 Legal and professional charges

Legal and professional charges include the following
in respect of auditors' remuneration (excluding sales tax) for:

	2024	2023
	(Rupees in thousand)	
Statutory audits	3,693	3,518
Half-yearly review	933	889
Tax services	49,043	11,416
Fee for audit of subsidiaries	2,433	2,203
Certifications required under various regulations	402	383
Out of pocket expenses	1,116	1,052
	57,620	19,461

34. Selling and distribution expenses

Salaries, wages and other benefits	- note 34.1	328,072	284,637
Electricity, gas and water		5,399	4,259
Repairs and maintenance		1,557	2,141
Insurance		2,438	4,461
Depreciation on operating fixed assets	- note 17.1.3	13,339	11,797
Vehicle running		23,393	21,090
Postage, telephone and telegram		4,773	3,877
Printing and stationery		3,200	2,701
Rent, rates and taxes		3,342	2,882
Travelling and conveyance		18,643	7,038
Entertainment		2,155	2,737
Advertisement and sales promotion		32,152	59,473
Freight and handling charges		2,130,235	1,386,678
Legal and professional charges		12,670	-
Other expenses		31,532	28,721
		2,612,900	1,822,492

34.1 Salaries, wages and other benefits include Rs 12.647 million (2023: Rs 11.244 million) in respect of provident fund contribution by the Group. Further, the provision for gratuity and accumulating compensated absences included in the above is as follows:

	2024	2023
	(Rupees in thousand)	
Gratuity		
Current service cost	9,128	8,393
Interest cost for the year	15,373	11,038
Interest income on plan assets	(7,655)	(5,885)
	16,846	13,546
Accumulating compensated absences		
Current service cost	5,709	5,031
Interest cost for the year	1,837	1,590
Remeasurements	(338)	22
	7,208	6,643

2024	2023
(Rupees in thousand)	
-	36,377
23,590	19,800
5,033	1,700
-	223,800
-	9,167
-	58,384
-	4
28,623	349,232

35.1 Represents donation made to Pakistan Agricultural Coalition. None of the directors or their spouses have any interest in the donee.

	2024	2023
	(Rupees in thousand)	
	72,644	15,314
	-	8,280
	10	-
	50,122	6,306
	26,909	170,875
	1,061	751
	82,136	-
	3,762,372	2,451,369
	13,540	64,065
	3,775,912	2,515,434
	-	102,408
	142,667	416,338
	6,236	1,947
	189,581	-
	10,656	8,287
	12	-
	4,357,946	3,245,940

36.1 Dividend income from related parties

Nishat Mills Limited	151,448	121,158
MCB Bank Limited	3,527,291	2,217,478
Adamjee Insurance Company Limited	83,633	83,633
Nishat (Chunian) Limited	-	131,508
	3,762,372	2,553,777

37. Finance cost

Interest and mark-up / profit on:

- Long term finances - secured	- note 37.1	4,046,796	2,715,595
- Short term borrowings - secured		4,423,501	4,445,274
- Workers' profit participation fund	- note 12.4	2,787	8,358
Bank charges		79,039	50,028
		8,552,123	7,219,255

37.1 Included in this is the finance cost incurred on TERF and ITERF, which has been set off against the amount of unwinding of grant as referred in note 8.

38. Levy

Levy represents final taxes paid under section 5 of the Income Tax Ordinance, 2001 (the 'ITO, 2001'), in terms of requirements of IFRIC 21 / IAS 37.

38.1 Reconciliation of current tax charge charged as per tax laws for the year, with current tax recognised in the profit and loss account, is as follows:

	2024	2023
	(Rupees in thousand)	
Current tax liability for the year as per applicable tax laws	2,796,880	7,191,139
Portion of current tax liability as per tax laws, representing income tax under IAS 12	2,221,957	6,777,939
Portion of current tax computed as per tax laws, representing levy in terms of requirements of IFRIC 21 / IAS 37	574,923	413,200
Difference	-	-

38.2 The aggregate of minimum / final tax and income tax, amounting to Rs. 2,796.880 million (2023: Rs. 7,191.139 million) represents tax liability of the Group calculated under the relevant provisions of the ITO, 2001.

	2024	2023
	(Rupees in thousand)	
Current		
- For the year	1,375,093	1,296,677
- Prior years	(63,982)	23,680
	1,311,111	1,320,357
Deferred	910,846	5,457,582
	2,221,957	6,777,939

- note 11

39. Taxation

39.1 Tax charge reconciliation

	2024	2023
	%	%
Numerical reconciliation between the average effective tax rate and the applicable tax rate		
Applicable tax rate as per Income Tax Ordinance, 2001	29.00	29.00
Tax effect of:		
- Amounts that are not deductible for tax purposes - net	4.67	1.05
- Change in prior years' tax	16.50	(2.17)
- Change in tax rate	-	2.29
- Effect of super tax	10.95	65.87
- Income not subject to tax	0.07	(1.30)
- Income chargeable under final tax regime	(11.74)	(9.16)
- Previously recognised deferred tax asset charged off	26.72	36.27
- Recognition of deferred tax on temporary differences related to exports revenue stream that is to be taxed under Normal Tax Regime	-	66.70
- Others	(0.14)	(0.02)
	47.03	159.53
Average effective tax rate (including income tax and levy)	76.03	188.53

		2024	2023
40. Earnings / (loss) per share			
40.1 Earnings / (loss) per share - basic			
Profit /(loss) for the year - attributable to owners of the parent company	Rupees	620,898,000	(3,530,256,000)
Weighted average number of ordinary shares	Number	438,119,118	438,119,118
Earning / (loss) per share - basic	Rupees	1.42	(8.06)

40.2 Earnings / (loss) per share - diluted

There is no dilution effect on the basic earnings / (loss) per share as the Group has no such commitments.

		2024	2023
		(Rupees in thousand)	
			(Re-stated)
41. Cash generated from operations			
Profit before income tax		3,104,387	3,411,885
Adjustments for:			
- Depreciation on operating fixed assets	- note 17.1.3	4,075,173	4,178,671
- Amortization of intangible assets	- note 33	23,545	7,167
- Change in fair value of investments - FVPL		(10)	4
- Gain on investments at fair value through FVOCI		-	(8,280)
- Capital work-in-progress charged off during the year	- note 17.2	6,448	27,561
- Gain on disposal of operating fixed assets	- note 36	(26,909)	(170,875)
- (Gain) / loss on disposal of other biological assets	- note 35 & - note 36	(82,136)	9,167
- Changes in fair value of biological assets	- note 19.1	(372,431)	(441,456)
- Biological assets consumed		-	2,010
- Gain on disposal of biological assets - bull calves	- note 36	(10,656)	(8,287)
- Dividend income	- note 36	(3,775,912)	(2,413,026)
- Gain on initial recongition of ordinary shares transferred under Scheme of Compromises, Arrangement and Reconstruction	- note 37	-	(102,408)
- Income on bank deposits	- note 36	(72,644)	(3,750)
- Provision for retirement benefits	- notes 10.1.5 & 10.2.2	310,054	246,188
- Advance written-off		-	58,384
- Liabilities written back	- note 36	(50,122)	(6,306)
- Net impairment loss on financial assets		102,654	99,981
- Exchange (gain) / loss	- note 35 & - note 36	(118,545)	223,800
- Levy	- note 38	574,923	413,200
- Finance costs	- note 37	8,552,123	7,219,256
Profit before working capital changes		12,239,942	12,742,886
Effect on cash flow due to working capital changes			
- (Increase) / decrease in stores, spares and loose tools		(318,932)	2,940,260
- Decrease / (increase) in stock-in-trade		1,708,964	(3,968,902)
- Decrease in trade debts		163,862	325,196
- Decrease in advances, deposits, prepayments and other receivables		697,160	83,461
- (Decrease) / increase in trade and other payables		(1,092,970)	1,618,807
		1,158,084	998,822
		13,398,026	13,741,708

42. Cash and cash equivalents

		2024	2023
		(Rupees in thousand)	
Cash and bank balances	- note 29	987,233	1,207,860
Short term borrowings from financial institutions - secured	- note 13	(15,108,379)	(27,925,023)
		(14,121,146)	(26,717,163)

43. Transactions with related parties

The related parties include the Investor, related parties on the basis of common directorship, group companies, key management personnel including directors, other related parties and post employment benefit plans. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Group, directly or indirectly, including any Director (whether Executive or otherwise). The Group in the normal course of business carries out transactions with various related parties. Amounts due from and to related parties are shown under receivables and payables. Related party transactions carried out during the year are as follows:

		2024	2023
		(Rupees in thousand)	
Relationship with the Group	Nature of transactions		
i. Subsidiary companies	Sale of goods	29,174	16,647
	Purchase of goods	6,519	1,941
	Sale of fixed assets	-	62
	Dividend income	151,448	121,158
	Dividend paid	-	149,208
	Expense incurred on behalf of related party	886	-
	Buy back of shares	30,000	-
ii. Other related parties	Sale of goods and services	244,417	633,141
	Insurance premium	284,047	247,443
	Purchase of goods and services	708,564	388,921
	Insurance claims received	108,057	45,976
	Rental income	2,036	1,946
	Dividend paid	-	37,244
	Dividend income	3,610,924	2,451,369
	Initial gain on shares received as a result of merger scheme	-	102,408
	Purchase of shares	-	1,007,500
	Purchase of fixed assets	-	3,938
	Reimbursement of expenses by Related Party	89,462	84,280
	Mark up and principal payments	350,223	241,592
	Reimbursement of expenses to Related Party	452	-
iii. Key management personnel	Remuneration - note 43.1	378,056	320,919
	Dividend paid	-	47,468
	Buy back of shares	80,000	-
iv. Post employment benefit plans	Expense charge in respect of retirement benefit plan	310,054	246,188
	Expense charge in respect of contributory provident fund	162,864	142,597

43.1 This represents remuneration of the Chief Executive, Executive Director and certain Executives that are included in the remuneration disclosed in note 44 to these consolidated financial statements.

43.2 Transactions with related parties have been carried out on mutually agreed terms and conditions. The related parties with whom the Group had entered into transactions or had arrangements / agreements in place during the year have been disclosed below along with their basis of relationship:

Name	Relationship	%age of shareholding in the Company
Adamjee Insurance Company Limited	Group company	0.00%
Hyundai Nishat Motor (Private) Limited	Common directorship	Nil
Lalpir Power Limited	Common directorship	Nil
MCB Bank Limited	Group company	0.00%
Nishat Sutas Dairy Limited	Group company	Nil
Nishat Dairy (Private) Limited	Subsidiary	Nil
Nishat Hospitality (Private) Limited	Subsidiary of investor	Nil
Nishat Hotels and Properties Limited	Common directorship	Nil
Nishat Agriculture Farming (Private) Limited	Common directorship	Nil
Nishat Linen (Private) Limited	Subsidiary of Investor	Nil
Nishat Mills Limited	Investor	31.40%
Nishat Paper Products Company Limited	Subsidiary	Nil
Pakgen Power Limited	Group company	Nil
Pakistan Aviators & Aviation (Private) Limited	Group company	Nil
Security General Insurance Company Limited	Group company	0.10%
Mrs. Naz Mansha	Director / Chairperson	0.05%
Mr. Mian Raza Mansha	Director / Chief Executive	2.92%
Mrs. Ammil Raza Mansha	Spouse of Chief Executive	1.34%
Mr. Hassan Mansha	Close family member of director	6.19%
Mr. Mian Umer Mansha	Close family member of director	6.29%
Mr. Shehryar Ahmed Baksh	Director	Nil
Mr. Shahzad Ahmad Malik	Director	Nil
Mr. Khalid Niaz Khawaja	Director	Nil
Mr. Usama Mahmud	Director	Nil
Mr. Farid Noor Ali Fazal	Director	Nil
Mr. Arif Bashir	Key Management Personnel	Nil
Mr. Inayat Ullah Niazi	Key Management Personnel	0.00%
Adamjee Life Assurance Company Limited	Common Directorship	0.00%
Ahead Brands	Common Directorship	Nil
Delivery Management Consultant (Pvt) Limited	Common Directorship	Nil
Emporium Properties (Pvt) Limited	Common Directorship	Nil
Euronet Pakistan (Pvt) Limited	Common Directorship	Nil
Fortress Square Mall	Common Directorship	Nil
Golf View Land (Pvt) Limited	Common Directorship	Nil
HKB Enterprises	Common Directorship	Nil
MCB Islamic Bank Limited	Common Directorship	Nil
Nishat (Aziz Avenue) Hotels and Properties Limited	Common Directorship	Nil
Nishat (Raiwind) Hotels and Properties Limited	Common Directorship	Nil
Nishat Agrotech Farm Supplies (Pvt) Ltd.	Common Directorship	Nil
Nishat Commodities (Pvt) Limited	Group company	Nil
Nishat Developers (Private) Limited	Common Directorship	Nil
Nishat Energy Limited	Group company	Nil
Nishat Power Limited	Common Directorship	Nil
Nishat Real Estate Development Co. (Pvt) Ltd.	Group company	Nil
Company's Employees Gratuity Fund	Post Employment Benefit Plan	Nil
Company's Employees Provident Fund	Post Employment Benefit Plan	Nil

44. Remuneration of Chief Executive, Directors and Executives

44.1 The aggregate amounts charged in the consolidated financial statements for the year for remuneration, including certain benefits, to the Chief Executive, Executive Director and Executives are as follows:

	(Rupees in thousand)					
	Chief Executive		Executive Director		Executives	
	2024	2023	2024	2023	2024	2023
Short term employee benefits						
Managerial remuneration	38,308	32,908	28,393	24,573	889,706	687,605
Housing	270	270	-	-	326,750	247,926
Utilities	20,252	20,402	670	570	73,504	55,168
Leave passage	-	-	1,435	3,835	26,028	1,924
Bonus	-	-	-	-	140,649	66,235
Medical expenses	3,873	1,588	1,007	832	38,064	36,741
Others	23,412	23,822	219	2,319	123,716	214,385
Post employment benefits						
Contributions to Provident and Gratuity Fund	-	-	5,205	4,505	137,238	106,671
	86,115	78,990	36,929	36,634	1,755,655	1,416,655
Number of persons	1	1	1	1	346	275

44.2 The Group also provides the Chief Executive, certain directors and executives with Group maintained cars, travelling and utilities. Certain executives are provided with housing facilities.

44.3 During the year, the Group paid meeting fee amounting to Rs 0.76 million (2023: Rs 1.14 million) to its Non-Executive Directors. The number of Non-Executive Directors is 5 (2023: 5).

45. Plant capacity and actual production

		Capacity		Actual production	
		2024	2023	2024	2023
Cement segment:					
Clinker (Metric Tonnes)					
Plant I & II - D. G. Khan	- note 45.1	2,010,000	2,010,000	1,054,593	1,328,904
Plant III - Khairpur	- note 45.1	2,010,000	2,010,000	1,051,594	1,339,707
Plant IV - Hub	- note 45.1	2,700,000	2,700,000	2,235,280	1,959,742
Paper segment:					
Cement bags (number of bags)	- note 45.2	220,000,000	220,000,000	43,295,936	50,742,897
Dairy segment:					
Milk-litres					
-[110,000 litres per day]	- note 45.3	40,150,000	40,150,000	37,713,637	36,529,439

45.1 Plant capacity is based on 300 working days, that can be exceeded if the plant is operational for more than 300 days during the year. Actual production is less than the installed capacity due to planned maintenance shutdown and gap between market demand and supply of cement.

45.2 Lower capacity utilization is due to gap between demand and supply of the products.

45.3 Actual milk production is lower due to the mortality of milking cows and poor health of certain animals.

	2024	2023
--	-------------	-------------

46. Number of employees

Total number of employees as at June 30	2,299	2,303
Average number of employees during the year	2,291	2,326

47. Provident fund related disclosures

47.1 Cement segment

The investments by the provident fund in collective investment schemes, listed equity and debt securities have been made in accordance with the provisions of section 218 of the Companies Act, 2017 and the conditions specified thereunder.

As at reporting date, the provident fund has signed the term sheet for appointment of 'investment advisor' and is in the process of signing the agreement.

47.2 Paper segment

The investments by the provident fund in collective investment schemes, listed equity and debt securities have been made in accordance with the provisions of section 218 of the Companies Act, 2017 and the conditions specified thereunder.

47.3 Dairy segment

The investments by the provident fund in collective investment schemes, listed equity and debt securities have been made in accordance with the provisions of section 218 of the Companies Act, 2017 and the conditions specified thereunder.

48. Financial risk management

48.1 Financial risk factors

The Group's activities expose it to a variety of financial risks: market risk (including currency risk, interest rate risk and other price risk), credit risk and liquidity risk. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the Group's financial performance.

Risk management is carried out by the Board of Directors ('the Board'). The Group's finance department evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas, such as foreign exchange risk, interest rate risk, credit risk, use of derivative financial instruments and non-derivative financial instruments, and investment of excess liquidity.

The Group's overall risk management procedures to minimise the potential adverse effects of financial market on the Group's performance are as follows:

(a) Market risk

(i) Currency risk

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly from cash and bank balances, short term borrowings, receivables and payables that exist due to transactions in foreign currencies.

The Group is exposed to currency risk arising from various currency exposures, primarily with respect to the United States Dollar (USD). Currently, the Group's foreign exchange risk exposure is restricted to bank balances and amounts receivable from foreign entities and short term borrowings.

	2024	2023
	(USD in thousand)	
Financial assets		
Cash and bank balances	2,125	2,029
Receivable against sales to foreign parties	1,191	1,702
	<u>3,316</u>	<u>3,731</u>

	2024	2023
	(Euros in thousand)	
Financial assets	-	-
Financial liabilities		
Trade and other payables	(434)	(1,063)
Net liability exposure	<u>(434)</u>	<u>(1,063)</u>

	Average rate		Year-end spot rate	
	2024	2023	2024	2023
	(Rupees)	(Rupees)	(Rupees)	(Rupees)
USD	283.29	248.00	278.34	285.90
EURO	306.27	263.37	297.69	312.93

Foreign currency sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible change in the USD exchange rate, with all other variables held constant, of the Company's profit before tax and equity. The Company's exposure to foreign currency changes for all currencies other than USD is not material.

	Change in Exchange Rate	Effect on profit before tax (Rupees)	Effect on Equity
Financial Assets (Exposure in USD)			
2024	10%	92,298	56,302
	-10%	(92,298)	(56,302)
2023	10%	106,669	65,068
	-10%	(106,669)	(65,068)
Financial Liabilities (Exposure in Euro)			
2024	10%	(12,920)	(7,881)
	-10%	12,920	7,881
2023	10%	(33,264)	(20,291)
	-10%	33,264	20,291

(ii) Price risk

Other price risk represents the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Group is exposed to equity securities price risk because of investments held by the Group and classified as FVOCI and at FVPL. Material investments within the portfolio are managed on an individual basis and all buy and sell decisions are approved by the Board. The primary goal of the Group's investment strategy is to maximise investment returns.

The Group's certain investments in equity instruments of other entities are publicly traded on the Pakistan Stock Exchange Limited.

The table below summarises the impact of increases / decreases of the KSE-100 index on the Group's post-tax loss for the year and on equity. The analysis is based on the assumption that the KSE had increased/decreased by 10% with all other variables held constant and all the Group's equity instruments moved according to the historical correlation with the index.

	Impact on post-tax profit		Impact on other components of equity	
	2024	2023	2024	2023
	(Rupees in thousand)		(Rupees in thousand)	
Pakistan Stock Exchange Limited	3	2	1,703,413	909,035

(iii) Cash flow and fair value interest rate risk

Interest rate risk represents the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

The Group's interest rate risk arises from loan to related party, bank balances, short term and long-term borrowings. These borrowings issued at variable rates expose the Group to cash flow interest rate risk.

The Group analyses its interest rate exposure on a dynamic basis. Various scenarios are simulated taking into consideration refinancing, renewal of existing positions, alternative financing and hedging. Based on these scenarios, the Group calculates the impact on profit or loss of a defined interest rate shift. The scenarios are run only for liabilities that represent the major interest-bearing positions.

	2024	2023
	(Rupees in thousand)	
Fixed rate instruments:		
Financial assets		
Bank balances - savings accounts	654,065	706,764
Term deposit receipts	25,000	5,000
	679,065	711,764
Financial liabilities		
Export finances	(3,515,000)	(3,578,000)
Net exposure	(2,835,935)	(2,866,236)
Floating rate instruments:		
Financial liabilities		
Long term finances - secured	(22,883,554)	(17,437,036)
Short term borrowings - secured	(11,593,379)	(24,347,023)
	(34,476,933)	(41,784,059)
Net exposure	(34,476,933)	(41,784,059)

Fair value sensitivity analysis for fixed rate instruments

The Group does not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rate at the reporting date would not affect profit or loss of the Group.

Cash flow sensitivity analysis for variable rate instruments

The following table demonstrates the sensitivity to a possible change in the interest rate, with all other variables held constant, of the Group's profit before tax and equity against the floating rate instruments.

	Change in Exchange Rate	Effect on profit before tax (Rupees)	Effect on Equity
2024	1 %	344,769	210,309
	-1 %	(344,769)	(210,309)
2023	1 %	417,841	254,883
	-1 %	(417,841)	(254,883)

(b) Credit risk

Credit risk represents the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation.

Credit risk of the Group arises from deposits with banks and other financial institutions, as well as credit exposures to customers, including outstanding receivables and committed transactions. The management assesses the credit quality of the customers, taking into account their financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. For banks and financial institutions, only independently rated parties with a strong credit rating are accepted.

(i) Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows:

	2024	2023
	(Rupees in thousand)	
Long term deposits	61,568	64,426
Trade debts	956,035	1,222,551
Contract assets	84,893	79,530
Deposits and other receivables	44,060	81,655
Balances with banks	986,261	1,192,905
	2,132,817	2,641,067

(ii) Impairment of financial assets

The Group's financial assets, other than investments in equity instruments, are subject to the expected credit losses model. While bank balances, loans to employees, deposits and other receivables are also subject to the impairment requirements of IFRS 9, the identified impairment loss was immaterial and are therefore not exposed to any material credit risk.

Trade debts

The Group applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade debts.

To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due. These trade receivables are netted off with the collateral obtained from these customers to calculate the net exposure towards these customers. The Group has concluded that the expected loss rates for trade debts against local sales are different from the expected loss rates for trade debts against export sales.

The expected loss rates are based on the payment profiles of sales over a period of 12 months before June 30, 2024 and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The Group has identified the Gross Domestic Product and the Consumer Price Index of the country in which it majorly sells its goods and services to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

On that basis, the loss allowance as at June 30, 2024 and June 30, 2023 was determined as follows:

	Local sales			Export sales		
	Expected	Trade debts	Loss	Expected	Trade debts	Loss
	loss rate		allowance	loss rate		allowance
June 30, 2024	%	(Rupees in thousand)		%	(Rupees in thousand)	
Net trade debts*						
Not yet due	0.00%	111,459	-	0%	-	-
Up to 30 days	0.33%	59,340	198	0%	122,491	-
31 to 60 days	0.95%	43,121	411	0%	122,315	-
61 to 90 days	1.25%	7,544	94	0%	-	-
91 to 120 days	172.06%	136	234	0%	-	-
121 to 150 days	0.75%	32,297	242	0%	-	-
151 to 180 days	8.68%	3,941	342	0%	-	-
181 to 210 days	16.32%	3,792	619	0%	-	-
211 to 240 days	22.36%	1,561	349	0%	-	-
241 to 270 days	28.42%	5,296	1,505	0%	-	-
271 to 300 days	34.87%	54,388	18,965	0%	-	-
301 to 330 days	44.40%	54,560	24,225	0%	-	-
331 to 360 days	54.28%	20,650	11,209	0%	-	-
Above 360 days	57.66%	309,041	178,193	100%	86,577	86,577
		707,126	236,586		331,383	86,577
Trade debts against which collateral is held		343,889	-		-	-
Gross Trade debts		1,051,015	236,586		331,383	86,577

June 30, 2023	Local sales			Export sales		
	Expected	Trade debts	Loss	Expected	Trade debts	Loss
	loss rate		allowance	loss rate		allowance
	%	(Rupees in thousand)		%	(Rupees in thousand)	
Net trade debts*						
Not yet due	0.00%	29,110	-	0%	-	-
Up to 30 days	0.06%	150,915	96	0%	418,813	-
31 to 60 days	0.21%	69,195	147	0%	-	-
61 to 90 days	0.69%	28,433	195	0%	-	-
91 to 120 days	1.73%	41,229	714	0%	-	-
121 to 150 days	3.32%	9,123	303	0%	-	-
151 to 180 days	6.80%	78,213	5,317	0%	-	-
181 to 210 days	10.27%	37,239	3,824	0%	-	-
211 to 240 days	13.90%	1,266	176	0%	-	-
241 to 270 days	17.98%	2,826	508	0%	-	-
271 to 300 days	22.55%	17,421	3,929	0%	-	-
301 to 330 days	28.57%	3,385	967	0%	-	-
331 to 360 days	36.09%	5,722	2,065	0%	-	-
Above 360 days	38.85%	291,162	113,108	100%	89,160	89,160
		765,239	131,349		507,973	89,160
Trade debts against which collateral is held		169,848	-		-	-
Gross Trade debts		935,087	131,349		507,973	89,160

* This represents amounts net of trade debts against which security deposits and inland letters of credit, considered as collateral, are held amounting to Rs 343.889 million (2023: Rs 169.848 million) and Nil (2023: Nil), respectively.

The amount of loss allowance that best represents maximum exposure to credit risk at the end of the reporting period without taking into account any collateral is Rs 368.755 million (2023: Rs 242.352 million).

Generally, default is triggered when more than 360 days have passed. However, in case of certain parties, extended credit period is allowed by the Credit Committees of the Group. The names of defaulting parties of outstanding trade debts from export sales and their respective default amount is as follows:

	2024	2023
	(Rupees in thousand)	
Nobel Translink Private Limited	1,328	1,368
Hizbullah & Saeed Ullah House Limited	651	670
Vikrant Traders	84,599	87,122
	86,578	89,160

(iii) Credit quality of financial assets

The credit quality of financial assets that are neither past due nor impaired (mainly bank balances) can be assessed by reference to external credit ratings (if available) or to historical information about counterparty default rate:

	Rating Short term	Rating Long term	Rating Agency	2024	2023
				(Rupees in thousand)	
Bank Alfalah Limited	A1+	AAA	PACRA	361,460	431,629
Askari Bank Limited	A1+	AA+	PACRA	22,298	238
Bank Islami Pakistan Limited	A1	AA-	PACRA	44,221	41,367
The Bank of Punjab	A1+	AA+	PACRA	1,697	1,796
The Bank of Khyber	A1	A+	PACRA	82	82
Dubai Islamic Bank Pakistan Limited	A1+	AA	JCR-VIS	63	100
MCB Bank Limited	A1+	AAA	PACRA	252,267	613,931
Habib Bank Limited	A1+	AAA	JCR-VIS	72,726	26,646
Meezan Bank Limited	A1+	AAA	JCR-VIS	647	17
National Bank of Pakistan	A1+	AAA	PACRA	2,974	1,512
Silk Bank Limited	A2	A-	JCR-VIS	5	5
Standard Chartered Bank (Pakistan) Limited	A1+	AAA	PACRA	122,904	56,907
United Bank Limited	A1+	AAA	JCR-VIS	9,787	7,208
Habib Metropolitan Bank Limited	A1+	AA+	PACRA	8,566	1,512
Faysal Bank Limited	A1+	AA	PACRA	5,165	95
JS Bank Limited	A1+	AA	PACRA	12	12
MCB Islamic Bank Limited	A1	A+	PACRA	81,500	9,377
Samba Bank Limited	A1	AA	JCR-VIS	3	4
Industrial and Commercial Bank of China	F1 +	A	FITCH	56	61
Habib Bank Limited - Islamic	A1+	AAA	JCR-VIS	-	588
Bank Al-Habib Limited	A1+	AAA	PACRA	25,000	5,000
Al-Baraka Bank (Pakistan) Limited	A1	A+	JCR-VIS	10	
				1,011,443	1,198,087

(c) Liquidity risk

Liquidity risk represents the risk that the Group shall encounter difficulties in meeting obligations associated with financial liabilities.

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding through an adequate amount of committed credit facilities. Due to the dynamic nature of the Group's businesses, the Group's finance department maintains flexibility in funding by maintaining availability under committed credit lines. The Group's borrowing limits and cash and bank balances have been disclosed in notes 13 and 29 to these consolidated financial statements.

Management monitors the forecasts of the Group's cash and cash equivalents (note 42 to these consolidated financial statements) on the basis of expected cash flow. This is generally carried out in accordance with practice and limits set by the Group. These limits vary by location to take into account the liquidity of the market in which the entity operates. In addition, the Group's liquidity management policy involves projecting cash flows in each quarter and considering the level of liquid assets necessary to meet its liabilities, monitoring consolidated statement of financial position liquidity ratios against internal and external regulatory requirements and maintaining debt financing plans.

The table below analyses the Group's financial liabilities into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date.

	(Rupees in thousand)					Carrying value
	Less than 1 year	Between 1 and 2 years	2 to 5 years	Over 5 years	Total contractual cashflows	
At June 30, 2024						
Long term finances	5,448,246	3,785,912	9,805,373	3,525,752	22,565,283	22,883,554
Trade and other payables	9,906,475	-	-	-	9,906,475	9,906,475
Long term deposits*	572,748	-	-	-	572,748	572,748
Short term borrowings						
- secured	15,108,379	-	-	-	15,108,379	15,108,379
Accrued mark-up / profit	1,417,035	-	-	-	1,417,035	1,417,035
Unclaimed dividend	34,200	-	-	-	34,200	34,200
	<u>32,487,083</u>	<u>3,785,912</u>	<u>9,805,373</u>	<u>3,525,752</u>	<u>49,604,120</u>	<u>49,922,391</u>

*The maturity period of long term deposit is not ascertainable.

	(Rupees in thousand)					Carrying value
	Less than 1 year	Between 1 and 2 years	2 to 5 years	Over 5 years	Total contractual cashflows	
At June 30, 2023						
Long term finances	7,673,813	5,252,600	4,240,652	796,019	17,963,084	17,437,036
Trade and other payables	10,101,220	-	-	-	10,101,220	10,101,220
Long term deposits*	439,697	-	-	-	439,697	439,697
Short term borrowings						
- secured	27,925,023	-	-	-	27,925,023	27,925,023
Accrued mark-up / profit	1,857,643	-	-	-	1,857,643	1,857,643
Unclaimed dividend	34,512	-	-	-	34,512	34,704
	<u>48,031,908</u>	<u>5,252,600</u>	<u>4,240,652</u>	<u>796,019</u>	<u>58,321,179</u>	<u>57,795,323</u>

*The maturity period of long term deposit is not ascertainable.

48.2 Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

The Group manages its capital structure and makes adjustments to it in the light of changes in economic conditions. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders or issue new shares.

Consistent with others in the industry and the requirements of the lenders, the Group monitors the capital structure on the basis of gearing ratio. This ratio is calculated as net debt divided by total equity (as shown in the consolidated statement of financial position). Net debt is calculated as total borrowings (including current and non-current borrowings) including bank overdraft less cash and bank balances and liquid investments.

The gearing ratios as at June 30, 2024 and 2023 were as follows:

	2024	2023
	(Rupees in thousand)	
Borrowings - notes 7, 13 and 15	37,991,933	44,800,023
Less: Cash and bank balances - note 29	(987,233)	(1,207,860)
Net debt	<u>37,004,700</u>	<u>43,592,163</u>
Total equity	<u>79,547,075</u>	<u>67,142,882</u>
Gearing ratio	Percentage 47%	65%

In accordance with the terms of agreement with the lenders of long term finances (as referred to in note 7 to these consolidated financial statements), the Group is required to comply with certain financial covenants such as maintaining certain level of gearing ratio and current ratio. The Group has complied with these covenants throughout the reporting period except for certain covenants in respect of which the lenders have not raised any objection to the Group.

48.3 Fair value estimation

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or most advantageous) market at the measurement date under current market conditions (i.e. an exit price) regardless of whether that price is directly observable or estimated using another valuation technique.

The table below analyses the financial instruments carried at fair value, by valuation method. The different levels have been defined as follows:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1).
- Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (Level 2).
- Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (Level 3).

The following table presents the Group's assets and liabilities that are measured at fair value:

As at June 30, 2024	Level 1	Level 2	Level 3	Total
	(Rupees in thousand)			
<i>Recurring fair value measurements</i>				
<i>Assets</i>				
Investment - FVPL	26	-	-	26
Investments - FVOCI	27,924,771	-	5,673,708	33,598,479
Biological assets	-	-	1,167,436	1,167,436
Total assets	27,924,797	-	6,841,144	34,765,941
Total liabilities	-	-	-	-
<i>As at June 30, 2023</i>				
<i>Recurring fair value measurements</i>				
<i>Assets</i>				
Investment - FVPL	15	-	-	15
Investments - FVOCI	14,902,201	-	5,842,886	20,745,087
Biological assets	-	-	1,150,612	1,150,612
Total assets	14,902,216	-	6,993,498	21,895,714
Total liabilities	-	-	-	-

Movement in the above mentioned assets has been disclosed in notes 20 and 27 to these financial statements and movement in fair value reserve has been disclosed in the statement of changes in equity. There were no transfers between Levels 1 and 2 & Levels 2 and 3 during the year and there were no changes in valuation techniques during the year. Since the ordinary shares of Nishat Hotels and Properties Limited and Hyundai Nishat Motor (Private) Limited are not listed, an investment advisor engaged by the Group has estimated fair values of Rs 19.22 and Rs 18.77 per ordinary share, respectively, as at June 30, 2024, through a valuation technique based on discounted cash flow analysis. The Group's policy is to recognise transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period. Changes in level 2 and 3 fair values are analysed at the end of each reporting period during the annual valuation discussion between the Chief Financial Officer and the investment advisor. As part of this discussion, the investment advisor presents a report that explains the reason for the fair value movements.

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly

occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in Level 1.

The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. These valuation techniques maximise the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in Level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in Level 3.

Specific valuation techniques used to value financial instruments include:

- Quoted market prices or dealer quotes for similar instruments.
- The fair value of interest rate swaps is calculated as the present value of the estimated future cash flows based on observable yield curves.
- Other techniques, such as discounted cash flow analysis, are used to determine fair value for the remaining financial instruments. An appropriate discount for lack of control and lack of marketability is also applied, where relevant.

Valuation techniques used to measure level 3 assets

Investments - FVOCI

Since the ordinary shares of Nishat Hotels and Properties Limited and Hyundai Nishat Motor (Private) Limited are not listed, an investment advisor engaged by the Group has estimated fair values of Rs 19.22 and Rs 18.77 per ordinary share, respectively, as at June 30, 2024, through a valuation technique based on discounted cash flow analysis.

The method for calculation of fair value and valuation inputs including sensitivity analysis has been explained in note 20.1.1 and 20.1.2 to these consolidated financial statements.

Biological assets

The fair value of these assets is determined by an independent professionally qualified valuer. Latest valuation of these assets was carried out on June 30, 2024. Level 3 fair value of biological assets has been determined considering the prices of animals in local markets (replacement cost approach), health profile of the herd, disease outbreaks in Pakistan, current economic conditions of the country and the current trends in dairy industry in Pakistan.

The fair value is also dependent on the age of the cattle. The milking animals have been classified according to their lactations. As the number of lactations increase, the fair value keeps on decreasing. At the same time, a value was fixed on the calf heifer recently born according to the estimation and in relation with referential values of the similar cattle breeding in Pakistan.

When the cow arrives at 6 years i.e. 72 months of age or more (5th Lactation) and is considered an old cow as is usual in Pakistan, and if the cow remains in the farm because she is profitable, normally this is the stage of culling. The value of cow at this stage shall be kept constant.

a) Valuation inputs and relationship to fair value

The valuation inputs used in the calculation includes the farm cost to raise the heifer (as starting point) and according to actual cost in the farm and the analysis of the average local market prices in Pakistan.

The milking performance for the Australian imported heifers, Dutch heifers and farm born heifers has been almost same throughout the year and hence same values have been ascertained for all the milking animals regardless of their categories but according to their lactation levels.

b) Fair value sensitivity analysis for biological assets

If the fair value of biological assets, at the year end date fluctuates by 1% higher / lower with all other variables held constant, post tax profit for the year would have been Rs 8.29 million (2023: Rs 8.17 million) higher / lower mainly as a result of higher / lower fair value gain /(loss) on biological assets.

The carrying values of all other financial assets and liabilities reflected in the financial statements approximate their fair values. Fair value is determined on the basis of objective evidence at each reporting date.

48.4 Financial instruments by categories

	At fair value through profit or loss	At fair value through OCI	At amortised cost	Total
As at June 30, 2024				
Assets as per statement of financial position				
Long term deposits	-	-	61,568	61,568
Trade debts	-	-	956,035	956,035
Deposits and other receivables	-	-	44,060	44,060
Investments	26	33,598,479	25,000	33,623,505
Cash and bank balances	-	-	987,233	987,233
	<u>26</u>	<u>33,598,479</u>	<u>2,073,896</u>	<u>35,672,401</u>

As at June 30, 2023

Assets as per statement of financial position				
Long term deposits	-	-	64,426	64,426
Trade debts	-	-	1,222,551	1,222,551
Deposits and other receivables	-	-	81,655	81,655
Investments	15	20,745,087	13,000	20,758,102
Cash and bank balances	-	-	1,199,860	1,199,860
	<u>15</u>	<u>20,745,087</u>	<u>2,581,492</u>	<u>23,326,594</u>

Financial liabilities at amortized cost

2024 **2023**
(Rupees in thousand)

Liabilities as per statement of financial position

Long term finances - secured	22,883,554	17,437,036
Long term deposits	572,748	439,697
Accrued markup	1,417,035	1,857,643
Trade and other payables	9,906,475	10,101,220
Short term borrowings	15,108,379	27,925,023
Unclaimed dividend	34,200	34,705
	<u>49,922,391</u>	<u>57,795,324</u>

48.5 Offsetting financial assets and financial liabilities

There are no significant financial assets and financial liabilities that are subject to offsetting, enforceable master netting arrangements and similar agreements.

49. Operating Segments

A business segment is a group of assets and operations engaged in providing products that are subject to risk and returns that are different from those of other business segments.

The Group's operations comprise of the following main business segment types:

Type of segments

Cement
Paper
Dairy

Nature of business

Production and sale of clinker, ordinary portland and sulphate resistant cements
Manufacture and supply of paper products and packing material
Production and sale of raw milk

The identification of operating segments was based on the internal organisational and reporting structure, built on the different products and services within the Group. Allocation of the individual organisational entities to the operating segments was exclusively based on economic criteria, irrespective of the participation structure under the Companies Act, 2017.

49.1 Segment analysis and reconciliation

The information by operating segment is based on internal reporting to the Group executive committee, identified as the 'Chief Operating Decision Maker' as defined by IFRS 8. This information is prepared under the IFRSs applicable to the consolidated financial statements. All Group financial data are assigned to the operating segments.

	Cement		Paper		Dairy		Elimination - net		(Rupees in thousand)	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
Revenue from										
- External customers	65,985,060	64,983,821	280,891	569,566	5,622,128	4,941,814	-	-	71,888,079	70,495,201
- Inter segment	53,629	-	2,215,868	2,522,027	-	271	(2,269,497)	(2,522,298)	-	-
	66,038,689	64,983,821	2,496,759	3,091,593	5,622,128	4,942,085	(2,269,497)	(2,522,298)	71,888,079	70,495,201
Segment gross profit / (loss)										
Segment expenses	10,528,260	9,555,775	254,364	480,465	938,408	655,915	(109,253)	(17,871)	11,611,779	10,674,284
Other income	(3,923,042)	(2,897,939)	(44,684)	(367,184)	(313,152)	(140,404)	(404,768)	88,187	(4,685,646)	(3,317,340)
	4,234,797	3,246,999	161,132	86,548	157,517	27,141	(195,500)	(114,748)	4,357,946	3,245,940
Changes in fair value of biological assets	-	-	-	-	372,431	441,456	-	-	372,431	441,456
Finance cost	(8,001,105)	(6,742,293)	(536,893)	(462,952)	(14,125)	(14,010)	-	-	(8,552,123)	(7,219,255)
Taxation and Levy	(2,296,514)	(6,798,518)	(118,449)	85,992	(381,916)	(478,613)	574,922	-	(2,221,957)	(7,191,139)
Profit/(loss) after taxation	542,396	(3,635,976)	(284,530)	(177,131)	759,163	491,485	(134,599)	(44,432)	882,430	(3,366,054)
Segment assets	138,385,752	134,713,251	6,785,449	5,597,511	5,268,136	4,920,138	(2,607,402)	(2,984,629)	147,831,935	142,246,271
Segment liabilities	62,538,217	70,520,974	4,582,596	3,629,026	1,601,701	1,767,867	(437,654)	(814,478)	68,284,860	75,103,389
Depreciation, amortization and impairment	3,829,907	3,944,128	61,888	60,290	161,768	158,527	21,610	15,726	4,075,173	4,178,671
Net cash generated (used in)/from operating activities	6,029,545	6,504,238	234,156	(518,032)	(160,259)	269,483	(865,167)	42,545	5,238,275	6,298,234
Capital expenditure	(1,620,798)	(3,418,069)	(676,095)	(49,078)	(22,956)	(213,225)	23,551	(27,574)	(2,296,298)	(3,707,946)
Net cash generated from/(used in) investing activities	2,277,223	(1,747,153)	(538,425)	(337,802)	424,787	46,869	(83,779)	(152,676)	2,079,806	(2,190,762)

49.2 Geographical segments

All segments of the Group are managed on a nation-wide basis and operate manufacturing facilities and sales offices in Pakistan only.

49.3 Geographical markets (Export Revenue)

	2024	2023
	(Rupees in thousand)	
Bangladesh	5,673,720	5,677,793
Madagascar	236,220	963,525
Tanzania	70,258	945,132
Qatar	431,493	526,242
Mexico	320	512,064
United States of America	1,958,017	481,612
Sri Lanka	2,762,587	329,016
Afghanistan	13,746	7,030
West Africa	443,246	-
	11,589,607	9,442,414

50. Interests in other entities

50.1 Material subsidiaries

The subsidiaries as at June 30, 2024 are set out below. Unless otherwise stated, they have share capital consisting solely of ordinary shares that are held directly by the parent company, and the proportion of ownership interests held equals the voting rights held by the parent company. The country of incorporation or registration and their principal places of business are disclosed in note 1.

Name of entity	Ownership interest held by the Group		Ownership interest held by non-controlling interests		Principal activities
	2024	2023	2024	2023	
Nishat Paper Products Company Limited	55%	55%	45%	45%	Paper products and packaging material
Nishat Dairy (Private) Limited	55.10%	55.10%	44.90%	44.90%	Production and sale of raw milk

50.2 Non-controlling interests ('NCI')

Set out below is summarised financial information for each subsidiary that has non-controlling interests that are material to the Group. The amounts disclosed for each subsidiary are before inter-company eliminations:

	Nishat Paper Products Company Limited		Nishat Dairy (Private) Limited	
	2024	2023	2024	2023
	(Rupees in thousand)		(Rupees in thousand)	
Summarised statement of financial position				
Current assets	3,798,113	3,915,178	2,376,636	1,905,465
Less: current liabilities	2,937,071	3,421,920	941,549	1,162,242
Net current assets	861,042	493,258	1,435,087	743,223
Non-current assets	2,987,336	1,682,333	2,891,500	3,014,673
Less: non-current liabilities	1,645,526	189,873	660,152	605,625
Net non-current assets	1,341,810	1,492,460	2,231,348	2,409,048
Net assets	2,202,852	1,985,718	3,666,435	3,152,271
Accumulated non-controlling interests	1,142,529	983,161	1,724,586	1,498,920
Summarised statement of comprehensive income				
Revenue	2,496,760	3,091,593	5,622,128	4,942,085
(Loss) / profit for the year	(284,531)	(177,131)	759,164	491,485
Other comprehensive income	518,899	(23,984)	-	-
Total comprehensive income / (loss)	234,368	(201,115)	759,164	491,485
(Loss) / profit allocated to NCI	(74,137)	(50,710)	335,670	214,912
Other comprehensive income / (loss) allocated to NCI	233,504	(10,793)	-	-
Dividend paid to NCI	-	(20,941)	-	-
Summarised cash flows				
Cash flows from / (used in) operating activities	234,156	(518,032)	(160,259)	269,483
Cash flows (used in) / from investing activities	(538,425)	(337,802)	424,787	46,869
Cash flows (used in) / from financing activities	708,021	(620,345)	(252,893)	(108,822)
Net increase / (decrease) in cash and cash equivalents	403,752	(1,476,179)	11,635	207,530

2024 **2023**
(Rupees in thousand)

51. Disclosures by Company Listed on Islamic Index

Loans/advances obtained as per Islamic mode:

Loans obtained as per Islamic mode	11,156,468	7,835,288
------------------------------------	------------	-----------

Shariah compliant bank deposits/bank balances:

Bank balances	124,184	130,584
---------------	---------	---------

Profit earned from shariah compliant bank deposits/bank balances

Profit on deposits with banks	8,094	885
-------------------------------	-------	-----

Revenue earned from shariah compliant business

66,038,689	64,983,821
------------	------------

Gain or dividend earned from shariah compliant investments

Dividend income	155,556	122,390
-----------------	---------	---------

Exchange gain

200,018	84,075
---------	--------

Profit paid on Islamic mode of financing

1,470,529	807,196
-----------	---------

Profits earned or interest paid on any conventional loan or advance

Profit earned on deposits with banks	4,386	2,666
--------------------------------------	-------	-------

Interest paid on loans	6,989,677	5,191,403
------------------------	-----------	-----------

Relationship with shariah compliant banks

The Cement segment has obtained short term borrowings and long term finances, and has maintained bank balances with shariah compliant banks.

52. Corresponding figures

Corresponding figures have been re-arranged and reclassified, wherever necessary, for the purposes of comparison and better presentation as per reporting framework. However, no significant rearrangements have been made except as disclosed in note 2.2.1(a) to the consolidated financial statements and the following:

Description of item	Nature	From	To	Rs in '000
Term deposit certificates	Asset	Investments	Cash and bank balances	8,000

53. Date of authorisation for issue

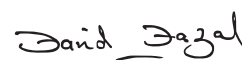
These consolidated financial statements were authorised for issue on September 16, 2024 by the Board of Directors.



Chief Executive



Chief Financial Officer



Director